



Spring 2026 Real Estate Outlook

Office

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INTRODUCTION

Approaches to Investments

Real Estate investment strategies are split into four primary groups based on the risk-return profile of the investment: core, core-plus, value-add, and opportunistic/development. Core investments focus on high-quality, newer, leased-up assets in “safe” markets, generating stable returns. Core-plus investments are slightly riskier, but still generally safe, as they’ll often take on mild amounts of risk related to lease-ups, higher leverage, or minor renovations. Value-add investments are slightly riskier and focus on generating revenue through renovations, leverage, and active asset management. Returns from value-add projects are often driven by NOI growth rather than property appreciation alone. Lastly, opportunistic investments are the riskiest, as they require construction loans and substantial capital expenditures. Opportunistic investments can include development projects, during which investors do not generate any cash for the duration of construction.

Types of Investors

Investment strategies and diversification techniques vary by investor. Some funds aim to spread out fixed costs by owning nearby investments, while others will invest in different property types across the world. Larger institutional investors, such as pension funds and insurance companies, often seek stable, core assets they can hold with little risk. Private Equity firms often seek investments ranging from opportunistic to core-plus and generate returns through active management and development. REITs seek to provide the public with opportunities to invest in real estate and focus on liquidity and consistent dividends, which they achieve by investing primarily in relatively stable, revenue-producing properties. Family offices and high-net-worth investors invest in a wide range of assets; however, their primary goal is to preserve their wealth and generate stable income. Developers will invest in opportunistic projects and generate returns by taking on construction and leasing risks. Debt investors/ private credit firms generate income through lending, mezzanine financing, and preferred equity, often servicing non-performing loans to maximize their returns. Lastly, sovereign wealth funds/ endowments will often take a more long-term investment approach.

Key Metrics

Investors and operators evaluate the performance and investment viability of real estate assets using a set of specialized financial metrics, including:

Rent PSF (per square foot)

Represents the average rent that each tenant pays per square foot within a property. This provides an apples-to-apples comparison of rents across properties of different sizes.

WALT (Weighted Average Lease Term)

This is the average remaining lease term of a property or portfolio of properties, weighted by each tenants percent share of rental income or square footage.

Cap Rate

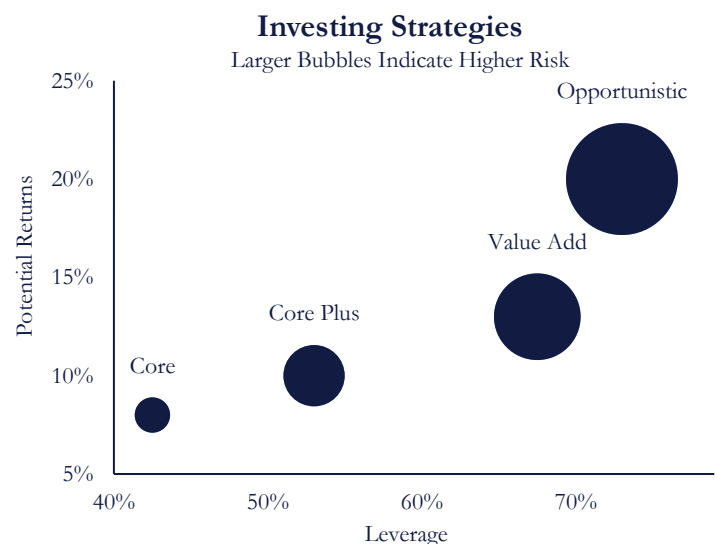
Measures the potential return on investment (ROI) of a property, calculated by dividing an asset’s NOI by its market value. Purchasing an asset at a lower rate means the asset’s price is high relative to its income generation.

NOI (Net Operating Income)

Net income generated by a property after accounting for operating expenses, excluding financing and capital costs. Serves as a key input for valuation models like the cap rate and discounted cash flow (DCF) approach.

Occupancy Rates

Represents the percentage of available units or SF that are occupied over a given period. Occupancy reflects an asset’s demand and operational efficiency as higher occupancy rates drive stronger revenues.



REAL ESTATE OVERVIEW

Sector Definitions

Industrial

Manufacturing, production, research and development, distribution and storage facilities are all industrial real estate. These properties are crucial for facilitating trade and ensuring stable supply chains. The rapid rise of AI has led to the need for data centers, and the rise in demand for Industrial properties. They're typically built under speculative or build-to-suit contracts.

Retail

Properties where goods and services are sold directly to consumers. This includes shopping centers, strip malls, and freestanding stores. Tenants often include clothing stores, restaurants, and grocery stores. Retail properties benefit from attractive spaces with foot traffic.

Multifamily

Residential properties with multiple units available for rent under a single ownership. Includes a wide range of affordability options from large apartment buildings, duplexes, and large townhomes. Additionally, most multifamily real estate is used to generate rental income.

Office

Buildings are used for professional and administrative purposes. This includes spaces like, high rise buildings in central business districts or multi-structured compounds in suburban markets. Office real estate has several niche subsectors for example flex style co-working environments and medical office buildings.

Life Science

Specialized facilities focused on labs, research and development, and biomanufacturing. These are designed for pharmaceuticals, biotechnology, agricultural innovation, and other products. The properties require advanced infrastructure and utilities. Typically located near universities, medical centers or other research institutions.

Hospitality

Includes properties for short term lodging. For example, motels, hotels, resorts, and others. Hospitality properties attract consumers through additional experiences, luxurious amenities, conference space, and preferred food and beverage options.

Data Center

Recent use of AI has caused a boom in data center real estate. These specialized properties are intended to contain, power, and cool advanced technological infrastructure like servers and storage systems. It houses not only AI but also cloud computing and data storage.

Self Storage

Facilities contain various individual, secure, self-service units. Leases are short term, typically monthly. And tenants are typically individuals that require extra space (of various sizes) to store their belongings. Owners do not have custody or control over the tenant's property. Occupancy tends to be resilient across cycles.

	Core	Core Plus	Value Add	Opportunistic
Return Ranges	7-10%, little variability	8-12%, modest variability	13-15%, some variability	20%+, significant variability
Return Split	70%+ from income Remainder from asset appreciation	60-70% from income 30-40% from asset appreciation	50-70% from income 30-50% from asset appreciation	0-50% from income 50-100% from asset appreciation
Leverage	Limited; 10-30% LTV	Moderate; 30-50% LTV	Moderate; 40-60% LTV	High; 50-90% LTV
Asset Profile/ Strategy	- Stabilized - Little/no deferred maintenance 85%+ occupied - Hold and operate	- Some lease up/ rollover - Limited deferred maintenance 70%+ occupied - Light capex	- Higher lease up/rollover - Some development or build-to-core 70%+ occupied - Major renovation or repositioning	- Ground-up asset development/ redevelopment - Little/no occupancy - Significant asset rehabilitation
Risk Profile	Lowest	Low	Moderate	Highest

REAL ESTATE SNAPSHOT

Sector Trends

Industrial

Industrial sector showed signs of stabilization after a period of increased supply growth. Leasing increased 8.4% YOY with net absorption increasing 18% YOY. Lowest annual supply delivery total since 2019 as construction shifted away from speculative projects to build-to-suit and owner-user projects. Average asking rents declined moderately annually. Long-term demand is supported by e-commerce, post pandemic risk aversion, and manufacturing reshoring.

Office

Office fundamentals remained under pressure as remote work trends and space optimization limited net absorption. Average lease size is 12.5% below pre-pandemic levels. Tenants are prioritizing optimal sizing, high-quality, high amenity, Class A space. Vacancy remains elevated, but office space under construction is at its lowest point since the Global Financial Crisis. Class B and C spaces face obsolescence with growing demand for conversion or improvement.

Retail

Retail sector remained resilient into the end of 2025. National shopping center vacancy rates ended Q4 at 5.7%, still below 7% pre pandemic norms. Net absorption showed strongest quarterly gain since Q4 2023 with an addition of 3.4 million sq. ft. Demand is focused on necessity and value retail. Supply remains constrained with only 10.2 million sq. ft. in 2025. Rent growth remained steady and is expected to normalize around 2%-2.5% going forward.

Multifamily

Multifamily shifted in 2025 with elevated deliverers, new construction declining 40% from 2023 peak. Higher interest rates, and tighter lending environments have decreased new development. Leasing continues to be supported by a renter's market overtaking buyers due to high rates. Rent moderated in 2025 compared to previous rapid expansion periods.

Hospitality

Hospitality performance has remained stagnant over the year as seen by revenue per available increasing by 0.2% in 2025. The bifurcation between luxury and economy hotel performance has and will most likely continue to intensify.

General Market Trends

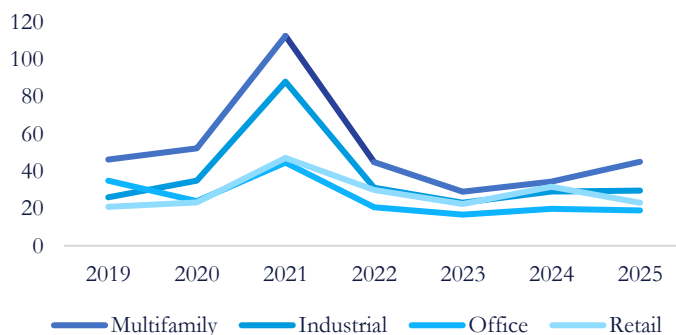
Heading into 2026, the commercial real estate industry is presenting signs of stability after years of post-pandemic volatility, elevated interest rates, and economic uncertainty. The U.S. GDP grew at an annual rate of 4.4% in Q3 of 2025, and inflation fell to below 3%, allowing the Federal Reserve to ease its restrictive stance, and providing a firmer foundation for the overall market.

As pricing expectations begin to align between buyers and sellers, transaction activity is beginning to rebound. With expectations of reaching pre-pandemic averages by 2027. While still below 2021 peak levels, industry improvements have supported increased transaction activity across select sectors.

Demand has been supported by continued return-to-office momentum, population, and job growth in key markets, and the rapid expansion of AI-related infrastructure. However, this recovery remains uneven, with some sectors and regions outpacing others. On the supply side, new construction has slowed significantly as financing costs have risen and ongoing tariffs on steel, aluminum, lumber, and other important building materials have driven up raw material prices.

Looking ahead, cap rates across property sectors are starting to compress as the Fed continues to ease monetary policy. But persistent geopolitical tensions – including ongoing trade disputes and military conflicts – continue to pose a threat to this sustained improvement. How these forces balance out and whether rate relief can outpace these external headwinds will play a paramount role in shaping pricing and deal activity throughout 2026.

Total Dollar Volume of Properties Transacted (\$B)



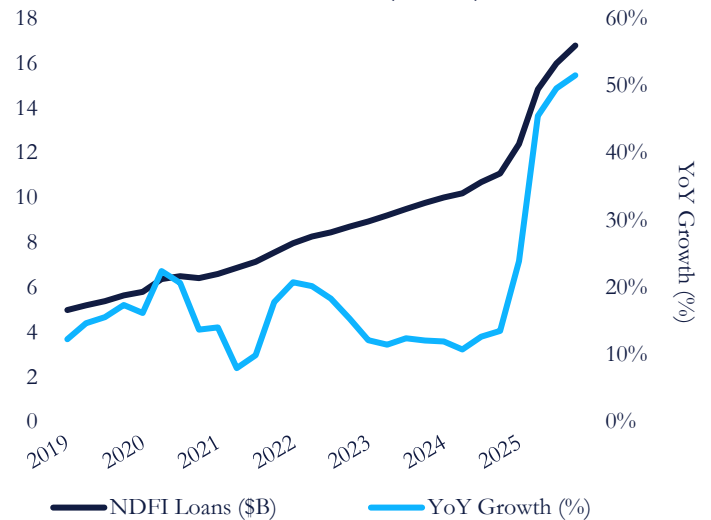
PRIVATE CREDIT SNAPSHOT

Industry Overview

What is Private Credit?

Private credit, also known as private debt or non-bank lending, refers to loans originating from investment firms rather than traditional banks. Firms such as BlackRock and Apollo Management provide capital to property developers and operators through structures such as senior loans, mezzanine debt, bridge financing, and preferred equity. The sector has exploded post 2008 financial crisis, as increased government regulation limited banks lending ability, creating an opportunity for alternative capital sources to step in. This growth has only accelerated in recent years, with the private credit market projected to grow upwards of \$5 trillion by 2029.

Loans to Non-Deposit Financial Institutions (\$100B)



Market Overview

With the global private credit market projected to reach \$5 trillion by 2029, over a 100% increase from 2020, investor demand has positioned itself in the driver's seat. Unlike banks, private credit operates outside the capital and liquidity requirements imposed on traditional lenders, which allows firms to move faster, and structure deals more flexibly. Banks have also followed a conservative trend post-2008, that combined with post-covid office real estate trends such as, elevated vacancy rates, and sun-belt oversupply, has made the sector an increasingly difficult asset class to finance. Private credit has moved aggressively to fill this void, offering capital that banks won't provide, but this comes at the price of higher interest rates and more restrictive loan terms for project developers. A reflection of both elevated risk profiles and the premium private lenders charge for their speed and flexibility.

Firm	Public / Private	Credit AUM	Company Overview
Blackstone	Public (BX)	\$520B	The world's largest alternative asset manager and commercial real estate owner, lending against assets they already own and operate globally.
APOLLO	Public (APO)	\$723B	One of Wall Street's largest direct lenders with 82% of assets in credit, deploying at scale across corporate and real estate debt through both funds and it's Athene insurance platform.
ARES	Public (ARES)	\$407B	A credit-first alternative manager with over \$400 billion in credit AUM, directly originating CRE loans through deep national owner-operator relationships rather than brokers or syndicated markets.
KKR	Public (KKR)	\$288B	A global investment firm spanning PE, infrastructure, and credit, bringing cross-platform sector insight to its real estate lending across the U.S. and Europe.
CARLYLE	Public (CG)	\$211B	A global alternative manager and the world's largest CLO manager, deploying real estate credit across net lease and structured debt through its Global Credit platform.
GUGGENHEIM	Private	\$249B	A \$359 billion fixed-income and insurance asset manager whose private debt platform focuses on highly negotiated middle market lending.

PRIVATE CREDIT OFFICE TRENDS

Private Credit in Office

Over the past five years, private credit has emerged as a core source of financing for U.S. office assets as banks and CMBS lenders reduced exposure following COVID-19. From 2020 through 2022, uncertainty around office utilization, tenant demand, and long-term space needs constrained traditional lending, creating opportunities for private lenders to provide bridge, recapitalization, and extension financing with tighter structures and higher pricing.

The shift accelerated in 2022–2023 as interest rates rose by more than 500 basis points and office valuations reset. As refinancing risk increased, private credit capital expanded to address near-term maturities, with loans typically structured at conservative leverage levels and enhanced credit protections, including cash management, sponsor guarantees, and interest reserves.

By 2024 through early 2026, private credit activity became increasingly selective, concentrating on institutional-quality, Class A office assets in gateway markets. Lending has focused on assets in prime locations with durable tenancy and clear business plans, while secondary markets and lower-quality buildings continue to face limited liquidity.

In the current environment, private credit has increasingly replaced traditional lenders for larger loan sizes historically dominated by banks. Debt funds are underwriting with an emphasis on downside protection and long-term asset viability, supporting transaction activity in core markets as valuations stabilize and sponsors reposition office assets for long-term recovery. As a result, private credit remains a primary driver of office transaction liquidity in top-tier U.S. markets. This dynamic is expected to persist as capital markets normalize and office fundamentals continue to bifurcate by quality and location.

Largest Office Private Credit Markets

New York City, NY

New York City is the most active private credit office market, driven by large refinancing needs, valuation resets, and a sustained pullback from bank lenders. Private credit has funded senior bridge loans and recapitalizations for institutional assets in Manhattan's core submarkets.

San Francisco, CA

Private credit dominates office lending in San Francisco due to near-total bank retrenchment and elevated refinancing risk. Capital has been deployed selectively into trophy assets and sponsor-led restructurings, often with conservative leverage and enhanced credit protections.

Los Angeles, CA

Los Angeles has seen consistent private credit activity in office, particularly across Westside and creative office submarkets. Debt funds have supported bridge financings and refinancings where leasing fundamentals remain durable but traditional lenders remain inactive.

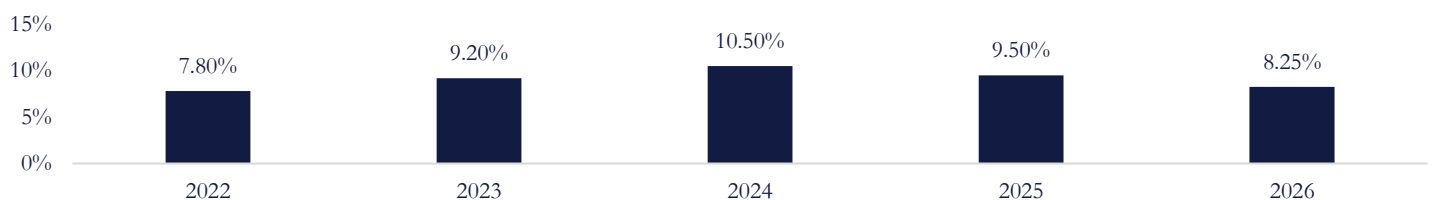
Boston, MA

Private credit office lending in Boston has been highly selective, focused on Class A assets in the CBD and life-science-adjacent locations. Debt funds have filled the gap between conservative life company lending and limited bank appetite.

Washington, D.C.

Washington, D.C. continues to attract private credit for office assets anchored by government or high-credit tenants. Lending activity has centered on refinancing maturing bank debt with lower leverage and strong structural protections.

Private Credit Direct Lending Yields



FINANCING TRENDS IMPACTING CRE

Capital Markets Environment

Higher Interest Rate Environment

Interest rates remain materially higher than the 2010 – 2021 low-rate period, increasing the cost of capital across all commercial real estate sectors. Higher borrowing costs compress leveraged returns and place pressure on debt service coverage ratios. As a result, transaction volume has declined and cap rates have expanded to reflect increased required returns.

Tighter Lending Standards

Banks and institutional lenders have reduced exposure to CRE due to regulatory scrutiny and balance sheet constraints. Loan-to-value ratios have declined, debt yield requirements have increased, and underwriting standards have become more conservative. Sponsors are now required to contribute more equity, reducing overall leverage in transactions.

Refinancing & Maturity Risk

A significant volume of CRE loans are approaching maturity over the next several years. Many of these loans were originated at historically low interest rates and must now refinance at substantially higher rates. Lower property valuations further constrain refinance proceeds, increasing the likelihood of restructurings and distressed sales.

Structural Shifts in CRE Financing

Growth of Private Credit

Private credit funds have expanded their role in CRE lending as traditional banks have pulled back. These lenders provide flexible capital but at higher spreads and often with floating-rate structures. While more expensive, private credit has become a critical liquidity source in the current financing environment.

Sector-Specific Capital Allocation

Capital is increasingly concentrated in sectors with durable cash flow and strong fundamentals. Industrial, data centers, and select multifamily assets continue to attract financing, while office assets face significantly constrained capital availability. Lenders are prioritizing asset classes with long-term structural demand drivers.

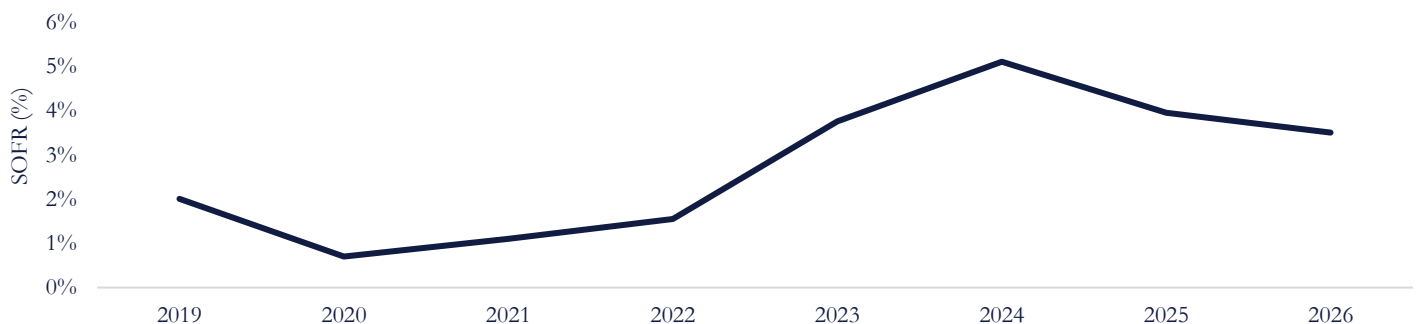
Conservative Underwriting Trends

Market participants are underwriting with greater discipline, incorporating lower exit cap rate assumptions, higher operating expense projections, and downside stress testing. Lenders and equity investors are placing increased emphasis on sponsor track record and stable cash flow durability. Risk tolerance has meaningfully declined compared to prior cycles.

The Decline in Transaction Volume & Price Discovery Gaps

Elevated financing costs and valuation uncertainty have significantly reduced transaction activity across commercial real estate markets. As interest rates rose, required returns increased, placing upward pressure on cap rates and downward pressure on asset values. Buyers and sellers often disagree on pricing as sellers reference prior valuations while buyers underwrite to higher cost-of-capital assumptions. This widening bid-ask spread has slowed deal flow and reduced overall market liquidity. Lower transaction volume has also limited comparable sales data, made valuation and underwriting more challenging for investors and lenders. As a result, price discovery has become more prolonged, contributing to a cautious and selective investment environment.

Average Annual Secured Overnight Financing Rate



FINANCING METHODS

Public Markets

Public market real estate transactions involving equity REITs are typically financed through unsecured bonds, revolving credit facilities, secured mortgage debt, and both common and preferred equity. Growth depends on consistent access to external capital markets, as REITs are required to distribute at least 90% of taxable income as dividends.

Unsecured Corporate Bonds

Sometimes referred to as "Debentures", these bonds are not backed by specific properties as collateral. Instead, investors have claims on the REITs overall cash flow.

Revolving Credit Facilities

These floating-rate lines of credit are used to temporarily fund acquisitions, redevelopment projects, or development activity before the permanent financing is arranged. Lenders have claims on cash flows and unencumbered assets, similar to unsecured bondholders.

Preferred Equity

Preferred equity sits between debt and common equity in the capital stack, with no direct collateral claims in the event of foreclosure but a fixed preferred return on distributable cash flows. In both private investments and public REIT structures, it provides priority over common equity and generally offers fixed returns modestly above comparable bond yields.

Common Equity

REITs issue common equity shares that offer returns through dividend yields and appreciation. They are junior to all other capital sources and only have residual claims after all debt and preferred equity. This means common equity holders have the potential for the highest gain, but also hold onto the most risk.

Capital Type	% of Capital	Expected Return	Seniority
Senior Debt	45-70%	5-8%	1st
Mezzanine Debt	0-20%	9-14%	2nd
Preferred Equity	0-20%	12-20%	3rd
Common Equity	30-55%	15-25%	4th

Private Markets

Private market real estate transactions are typically financed through a combination of senior debt, mezzanine debt, preferred equity, and common equity, which collectively are referred to as "the capital stack". The expected returns and repayment priority are driven by each layer's relative risk levels.

Senior Debt

Senior debt investments are first in line to be repaid and have the property serve as collateral on their investment. It is the most senior part of the capital stack and has the lowest risk/return profile with fixed interest payments.

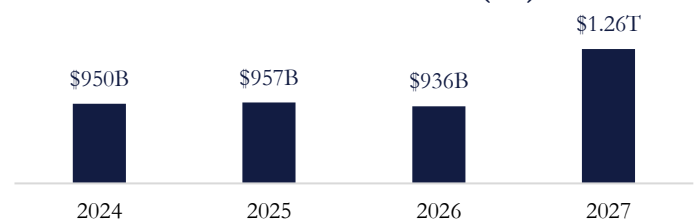
Mezzanine Debt

Mezzanine debt is typically structured as subordinated financing, carries higher risk than senior debt but also utilizes higher interest rates and potential equity participation showing enhanced returns. In private transactions, mezzanine lenders rely on contractual rights rather than direct claims on the property.

Activity & Performance

In 2025, easing rate volatility and improving credit conditions have helped reopen capital markets, supporting both REIT performance and private real estate financing activity. Lending spreads are stabilizing, and banks are gradually returning to the market, allowing REITs to selectively increase debt following the defensive environment of 2023 and 2024.

U.S. Loan Maturities (\$B)



REIT MERGERS AND ACQUISITIONS

Industry Benchmarks

Elevated interest rates and constrained credit drove a multiyear slow down, REIT M&A activity in 2025 remains significantly below prior cycle peaks. Total accounted deal value represented a 90% decline between 2021 and 2025 and a 76% decline from 2023 to 2025. Deal count fell from 16 to 3 transactions between 2021 and 2025 which further reflects the continued caution across both public and private capital. Public-to-private activity accounted for roughly 33% of total deal count in 2025, compared to 37% in 2021 as sponsors continuously remain selective amid tighter underwriting conditions. Transaction activity remains below pre-rate-hike levels. The sustained decline highlights a structurally constrained deal environment rather than just a short-term slow down.

Liquidity Dynamics

Capital markets activities has improved relative to the lows of 2023 despite the absence of M&A volume. CMBS issuance increased sequentially YOY while unsecured bond issuance rebounded in 2025. Regardless, leverage ratios across public REITs remain below 2021 levels. In 2024, total deal value declined to \$12.9 billion, down nearly 87% from 2021. Underwriting standards remain conservative, though liquidity has improved entering 2026, with tighter coverage ratios and lower loan-to-value thresholds compared to peak conditions.

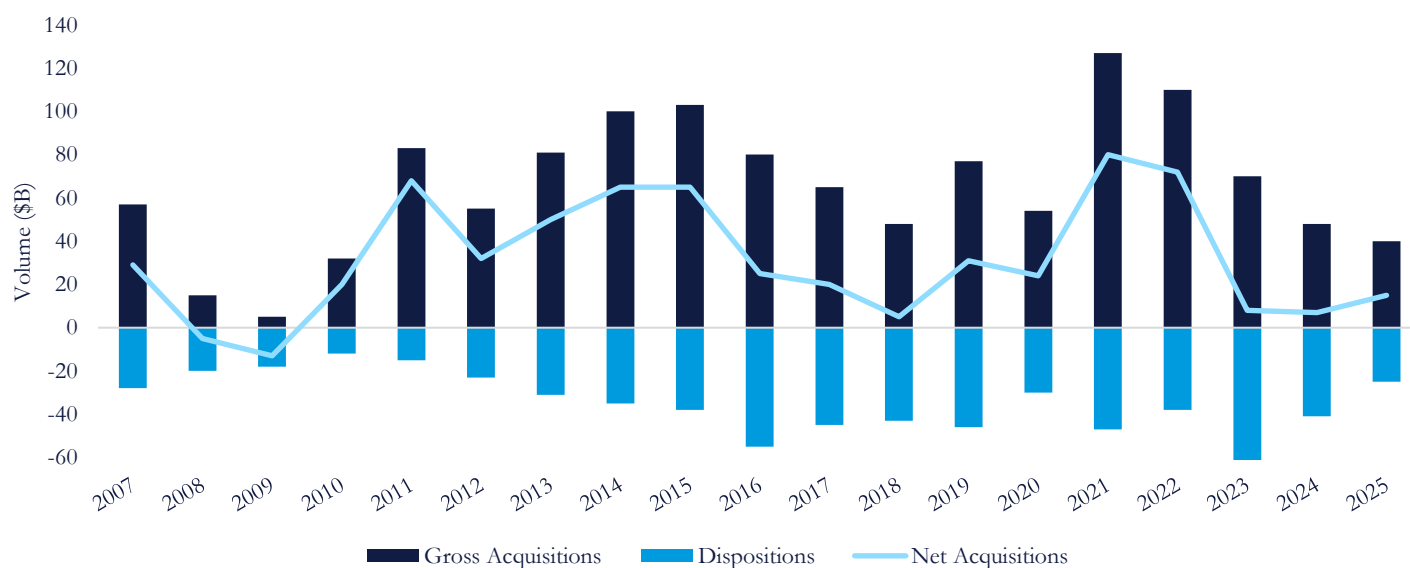
Privatization Spotlight

Take-private transactions have continued to remain opportunistic rather than thematic. Public-to-private deal value represented a decline of more than 85% from peak-cycle privatization activity. Sponsors have targeted platforms with stable cash flows and repositioning potential by focusing on REITs trading at persistent NAV discounts of 15–30%. Sponsors are underwriting operational efficiencies and long-term value creation, reflecting a more conservative private capital environment rather than pursuing aggressive financing. This trend reflects a continued preference for high-quality assets with clear value-add potential rather than broad-based activity across the sector. In many cases, buyers are prioritizing high-quality portfolios with clear value-add potential.

Outlook

Entering 2026, REIT M&A activity is positioned to grow gradually in comparison to a rapid rebound. Improving debt market access and reduced rate volatility are beginning to restore execution confidence while transaction volume remains well below peak-cycle levels. Public REITs are trading closer to NAV than during the dislocation period of 2023–2024, narrowing valuation gaps that stalled previous deals. Acquisition financing visibility improved, with unsecured debt markets reopened relative to 2023 highs. In the near term, a return to 2021-level activity appears unlikely.

Annual U.S. REIT Property Acquisitions & Dispositions



REGULATORY LANDSCAPE

Government Sponsored Enterprises

Fannie Mae and Freddie Mac continue to anchor liquidity in the residential and multifamily mortgage markets. Their role has expanded as banks remain conservative lenders amid tighter balance sheet constraints and heightened regulatory scrutiny. Issuance of agency CMBS slowed through 2024 but has stabilized in 2025, particularly in multifamily housing, where delinquency rates remain low compared to office assets. This relative performance has reinforced investor confidence in agency-backed product during a period of broader CRE stress. Government-sponsored enterprise (GSE) involvement has kept spreads tighter than those seen in private-label CMBS, offering borrowers a relatively more affordable option for financing and improving refinancing feasibility for maturing loans. The GSE guarantee structure reduces perceived credit risk, supporting consistent secondary market demand and enhancing execution certainty for sponsors. In addition, the enterprises have maintained steady investor demand, helping absorb refinancing volume that private lenders might not take on and mitigating systemic liquidity pressures within the mortgage market.

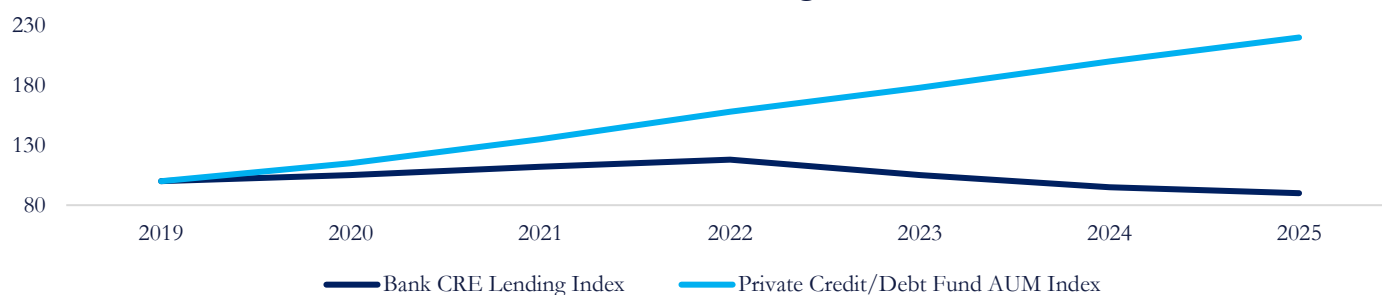
GSE Privatization

In 2008, the U.S. government bailed out Fannie Mae and Freddie Mac, placing them into conservatorship and injecting tens of billions in capital to stabilize the housing market. Consequently, the government holds a senior preferred claim of over \$348 billion across both GSEs (\$216 billion, \$132 billion). Because all earnings are swept to meet this growing claim, the common stock has been effectively worthless, reflected in its low price prior to 2025. Today, the administration is pushing to privatize both GSEs through a public offering or by restructuring the bailout framework to reduce the government's footprint in housing and unlock value for investors. The prospect of regaining access to future cash flows has driven increased speculative interest in both stocks. Additionally, there is ongoing debate among policymakers and investors over how much taxpayers should ultimately be repaid and how to release the GSEs without disrupting the mortgage market. As noted, GSE involvement has kept spreads tighter than those seen in private-label CMBS. Reduced government support could widen mortgage spreads, increase financing costs, raise mortgage rates, and ultimately slow residential and retail development.

Broader CRE Regulatory Impact

Beyond the GSE framework, evolving financial regulation is reshaping capital availability across commercial real estate. Heightened scrutiny on bank balance sheets, particularly among regional lenders with elevated office exposure, has led to more conservative underwriting standards and tighter credit conditions. Proposed Basel III endgame capital requirements may further increase risk weightings on certain real estate loans, pressuring banks to reduce origination volume or reprice loans to maintain return thresholds. As traditional lenders retrench, borrowers are increasingly turning to private credit funds and alternative lenders to fill the gap. While this shift has preserved liquidity in select segments, it often comes at a higher cost of capital and shorter loan durations. The reallocation of lending from regulated banks to private markets introduces greater dispersion in pricing and underwriting discipline. Over time, this dynamic could elevate refinancing risk and contribute to slower transaction velocity across office and broader CRE markets. This environment reinforces a more selective and disciplined lending landscape.

Bank v.s. Private Credit Lending in CRE Markets





BULL & BEAR
RESEARCH

Office Trends

OFFICE OVERVIEW

Forms of Office

Central Business District (CBD) Offices

Located in a dense city’s core. Typically, Class A buildings in the form of high-rise structures. Close to public transportation and high traffic areas to accommodate employees. Commonly used by financial, legal, and governmental services.

Suburban Offices

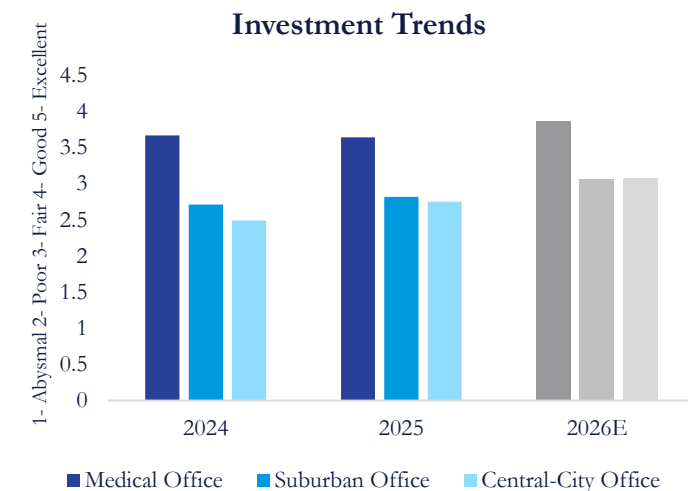
Located in suburban or peripheral areas. Typically mid-rise and campus like facilities. Large parking lots designed for commuting employees. Multi-tenant or single-tenant buildings from Class A to B or C for more affordable options.

Medical Office Buildings (MOBs)

Specialized offices built to provide healthcare providers with outpatient services. Tailored infrastructure like HVAC for infection control, medical waste disposal systems and ADA-compliant accessibility.

Coworking Offices

Shared offices where individuals or groups rent anything from a single desk to private offices and meeting rooms. Facilities tend to be fully furnished and include shared amenities for lenders. Coworking spaces are typically rented on a month-to-month basis.

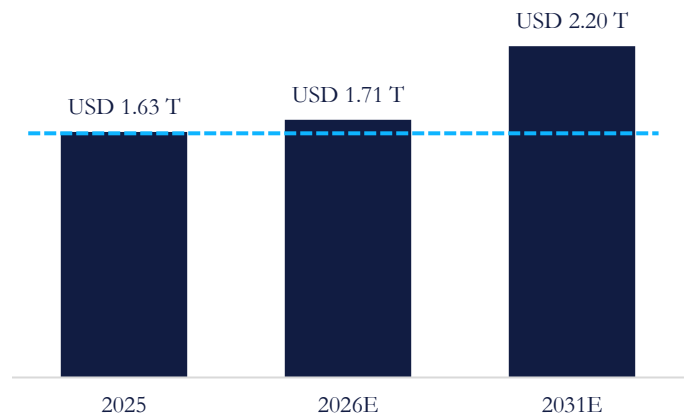


Investment Trends

PWC surveys indicate prospects for suburban, and CBD offices have been between poor and fair, with a possible rise in 2026. On the other hand, investment prospects for medical offices have been almost reaching a level 4, indicating a “good” outlook inside the United States.

Office Real Estate Market Size

CAGR: 5.17%



Office Market Landscape

There are some major drivers for market size growth expected to reach around \$2.2 trillion. The office market is experiencing a shift post-COVID with an increased demand in high quality spaces in resilient markets. Overall utilization, however, still remains below pre-COVID levels. Leasing activity is stabilizing as companies begin to adapt long term opportunistic strategies.

Development has slowed down and is creating a constrained supply in major cities. There is high construction costs, high interest rates, and uncertainty in demand, so new office development has significantly reduced from pre-COVID levels. Over time, the slowdown is gradually rebalancing the market as existing vacant space becomes occupied.

Office demand is tied to larger economic trends across various industries nation-wide. In markets with a strong focus in technology and financial services, office real estate is seeing a greater performance than it is in other markets. Life sciences and innovative industries are also attracting new tenants and investors. Companies tend to expand into these kinds of hubs, increasing office demand and driving up rents over time..

When one market sees a high increase, companies begin to migrate there, for example San Francisco’s Silicon Valley. These clusters serve as a network to reinforce long-term demand. Companies benefit from the proximity of various talent pools, venture capital, and close partnerships. For this reason, office absorption concentrates in innovative and lucrative markets clusters, while weaker are recovering at a slower pace.

OFFICE HEADWINDS

Hybrid Work Trends

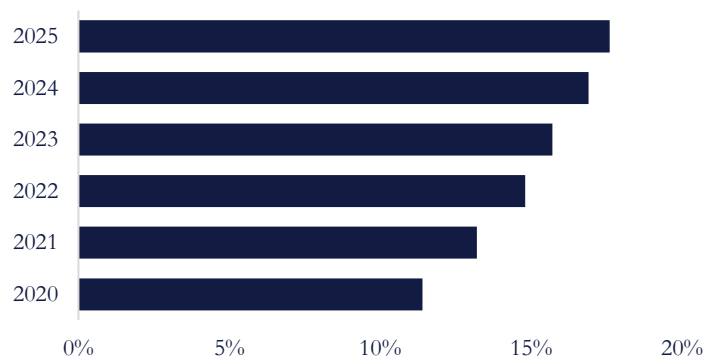
Pre-pandemic, office utilization hovered around 95% during a typical work week, and in 2019, less than 7% of the private sector worked from home. Today, this picture is drastically different. Accelerated by COVID-19, remote and hybrid work has become a defining feature of the modern-day labor market. Hybrid schedules are now embedded in corporate culture. What began as an emergency response evolved into a permanent shift in workplace expectations, and office vacancy rates are soaring upwards of 20%, with no meaningful signs of return to pre-pandemic norms.

Geopolitical Tensions

Geopolitical instability continues to weigh on the office commercial real estate sector by weakening corporate confidence and delaying long term leasing decisions. Ongoing global conflicts, trade fragmentation, and rising political uncertainty have led many occupiers to reassess expansion plans, reduce square footage requirements, and prioritize flexibility over traditional long term office commitments. Multinational tenants face added complexity as cross border regulatory risk, sanctions exposure, and supply chain realignment reshape operating strategies. These factors have contributed to slower leasing velocity, weaker net absorption, and increased competition among landlords for high credit tenants, particularly in major gateway markets.

On the capital markets side, heightened geopolitical risk have raised required return thresholds for office acquisitions and constrained transaction activity. Foreign capital, which historically supported pricing for core and trophy office assets, has moderated as investors factor in currency volatility and elevated risk premiums. As a result, liquidity within the office sector remains limited, bid ask spreads persist, and price discovery continues to challenge both buyers and sellers. In combination with hybrid work trends and elevated interest rates, geopolitical tensions represent an additional structural headwind for office CRE fundamentals and valuation stability. Together, these dynamics are poised to remain a severe headwind, with no clear catalyst for meaningful relief in the foreseeable future.

Q4 Office Vacancy Rates



Interest Rates

A substantial amount of commercial real estate debt stems from the net-zero interest rate environment of 2019 – 2021. An environment that prompted property owners to take on significant leverage due to the historically low borrowing costs, maximizing returns while minimizing their equity investment. With many loans now reaching their maturity date, these property owners are forced to refinance at higher monthly costs as interest rates have hiked to over 6% post 2021. These elevated rates reduce NOI, leading to less supply-side incentives. For overleveraged owners unable to service their debt at current rates, distressed sales have risen, removing capital and that would have otherwise been directed towards new development.

Average Annual Interest Rate



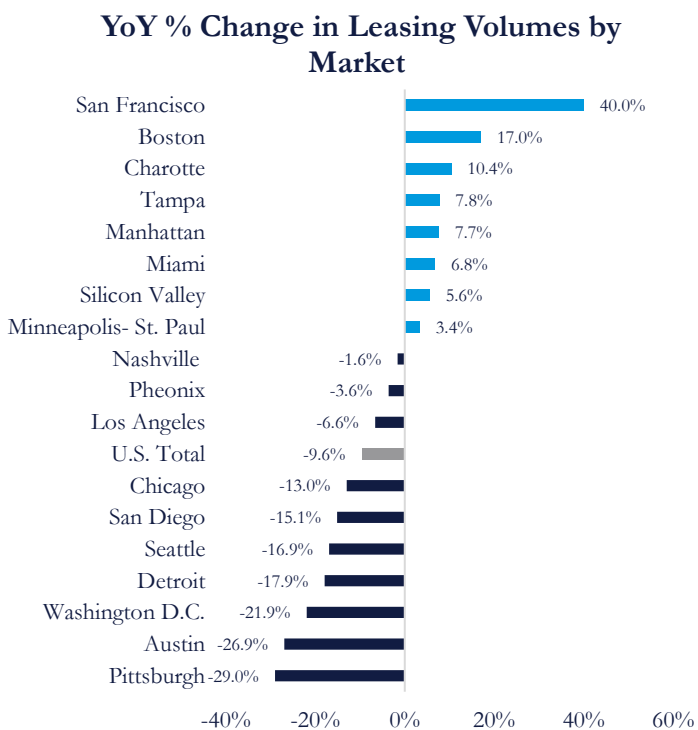
OFFICE TAILWINDS

Undervaluation Opportunities

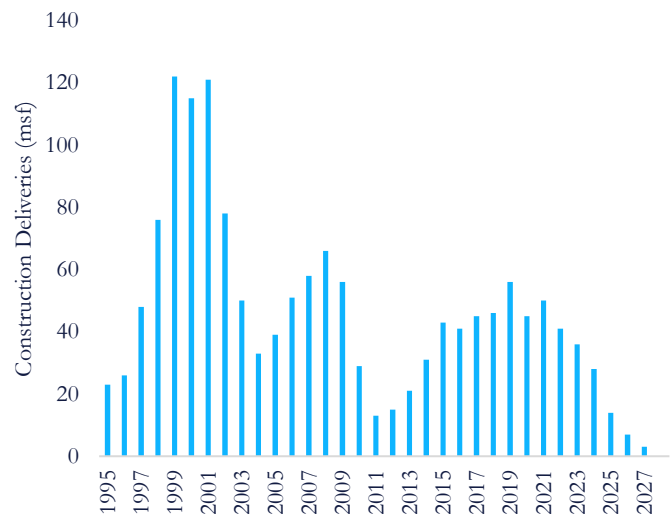
Some investors, including RXR and Blackstone have begun buying office buildings from institutional investors at large discounts of 30-50% of their peak values. Many risk-adverse investors don't want to deal with the added costs of reletting vacant office spaces and are willing to sell at a loss just to get rid of these tanking properties.

Return-to-Office Trends

Many major companies begun implementing return-to-office mandates throughout 2025, which have helped office demand. A prime example of this is JP Morgan, who opened its new, 60-story headquarter building in Manhattan in October 2025. Other companies have followed, such as Amazon, Goldman Sachs, Dell, and TikTok. A CBRE study found that 77% of employers are requiring 3+ days a week of in-person office work for their employees. 72% of the respondents reported that they are reaching this goal, a jump from 61% in 2024. As of Q4 2025, 38% of respondents expect return to office trends to increase, and for the average time spent in the office by their employees to rise in the coming years. 61% of respondents have claimed to have already reached a steady state, while only 1% expect office attendance to decrease.



Office Construction Deliveries



Decreased Construction

Due to the extent to which office buildings as an asset class struggled since the pandemic, there has been minimal construction, which has led to an increase of 2.5 msf in national net absorption. Q4 2025 is the second consecutive quarter of positive absorption after 12 straight negative quarters. Class A absorption lead the way (+9.2 msf over 2025). Overall net absorption over the year sat at -6.7 msf, which is still a large improvement compared to the previous 5-year average (-50.5 msf annually). While some of this is driven by increased demand as return-to-office initiatives have picked up, this positive absorption trend is driven primarily by a decrease in deliveries in recent years.

Flight to Quality

As employees return to offices post—covid, there is a higher demand for Class A buildings. Facilities with luxurious amenities and welcoming environments attract higher prospected employees and clients. Due to the lower construction rates and higher Class A demand, there has been a push towards conversion improvements. Older Class B buildings are being converted to Class A offices with modern renovations and amenity improvements. Employees have reported needing offices that are worth the commute. “Flight to Quality” emphasizes the need for modern and improved buildings that promote wellness, collaboration, and personalization.

MARKET COVERAGE: NEW YORK CITY

Market Overview

New York City's office macroenvironment seems to have passed the worst of the post-pandemic downturn. Office vacancies have finally begun to decline, with Q4 2025 seeing a vacancy rate of 13.5%. While this is still substantially higher than it was pre-pandemic (8.2% in Q4 2019), it has trended downwards since its peak of 14.6% in the first quarter of 2024. This trend has been primarily driven by an increase in leasing volume; 2025 has seen 41.92 million sf of office spaces leased, which is the highest yearly total since the 42.97 million sf leased in 2019. Another positive sign is that Manhattan's asking rent has been steadily increasing, including a 3.5% increase from Q4 2024-2025 to \$76.0 psf. This is still below the pre-pandemic average of \$79.47 psf. Tenant improvement allowances have also begun to drop since their 2024 peaks. While the current average (\$137.65 psf) is still substantially higher than the pre-pandemic average of \$90 psf, it did fall 1.2% over the past year, which is a step in the right direction. The most telling story in the NYC office space has been the "flight to quality" trend. All 10 of the largest leased (by square footage) signed in 2025 were located in 4 or 5 star rated buildings by CoStar. Additionally, office buildings in areas most accessible by public transit have outperformed their peers, with trophy properties near the Plaza or Grand Central seeing leasing numbers similar to their pre-pandemic levels. The conversion of office spaces to residential properties, strong leasing, and a drop-off in construction has allowed available office space to drop to 118 msf (lowest since 2020).

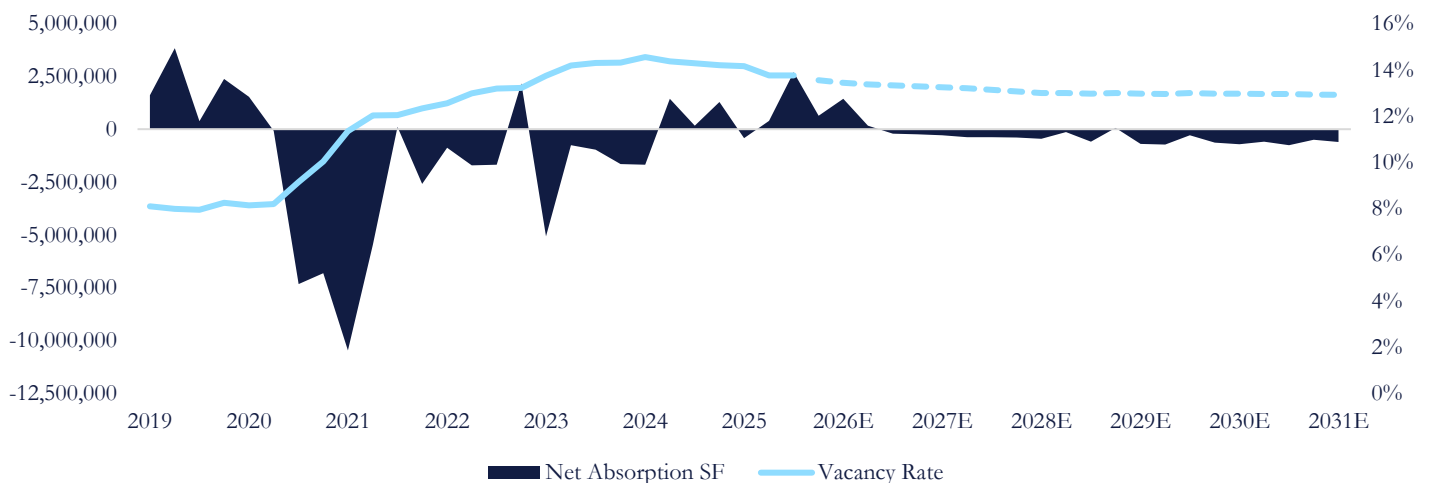
Capital Markets

Office sales volume rose 34% YoY to \$13 billion in 2025. This is still well below the 5-year pre-pandemic average (\$18 billion), but as interest rates are expected to gradually drop off, this figure is set to increase. Despite this, cap rates still remain elevated, with stabilized Class A properties trading at about 6.5%; 3-star NYC offices at around 7%. This is still well below the US average of 9%, but still much higher than pre-pandemic figures of 4.9%, 5.5%, and 7.5%, respectively.

Macroeconomic Trends

Despite some struggles over the course of the pandemic, NYC's job market remains strong, as the city is a financial and technological hub that also supports jobs in sectors such as healthcare, education, legal, and creative industries. This level of diversity and scale in opportunities provides the city's office market a buffer against some economic downturns. The port of NY/NJ is one of the busiest in the country, there is strong public transit connectivity, and high levels of tourism, which has rebounded well since the pandemic. The city is forecasted to see a 0.45% increase in available jobs over the next 5 years, which is slightly higher than the US market average of 0.39%. The NYC metro area is home to over 19.2 million people, and despite shrinking in population slightly in 2021-22, this trend has reversed and is now expected to continue growing at a rate of 0.5% annually for the coming years. The 5 boroughs are also expected to grow, and are currently home to 8.5 million people.

NYC Office: Net Absorption and Vacancy: 2019 - 2031 (projected)



MARKET COVERAGE: MIAMI

Key Market Metrics

Miami remains one of the more resilient office markets in the country, especially relative to other major gateway cities. According to CBRE, overall asking rents reached about \$62.35 psf in Q1 2025, while Brickell climbed to roughly \$91.56 psf, continuing to set the pricing ceiling for the market. Early 2025 absorption was positive, with more than 141,000 square feet absorbed, largely in the CBD, and although Q4 posted some negative quarterly absorption, full-year 2025 absorption was only about -24,000 square feet against a market inventory of more than 38 msf, which is relatively stable in context. This performance reflects a market that is no longer surging the way it did immediately post-pandemic, but is still materially outperforming many peer office markets across the U.S., with no signs of structural decline on the horizon.

Demand Drivers

Demand in Miami office continues to be supported by a combination of corporate migration, financial-sector growth, and international connectivity. Firms from higher-cost, higher-tax markets have continued to expand into South Florida, particularly in industries such as financial services, wealth management, private capital, and professional services. JLL specifically notes financial services as a defining theme in Miami's office landscape, while market activity in the CBD shows that many of the most active tenants are still concentrated in premium urban product. Miami also benefits from its longstanding role as the gateway to Latin America, which supports regional headquarters demand and reinforces the city's importance for cross-border business activity. Together, these drivers help explain why Miami has remained one of the few office markets with real pricing power at the top end.

Location & Submarkets

Miami's office market is driven by a small number of highly differentiated submarkets, each with a distinct tenant profile and rent level. Brickell and Downtown serve as the region's financial and corporate core, with the newest trophy towers, the highest rents, and the strongest institutional interest. Coral Gables remains a more traditional corporate office node with steady demand from law firms, professional services, and multinational tenants, while Doral and the Airport/Blue Lagoon corridor offer more efficient pricing and strong access to Miami International Airport and major highways. In addition, emerging mixed-use districts such as Wynwood and parts of Coconut Grove have started to attract creative, tech, and boutique finance users looking for newer product and a more amenities environment.

Market Trends & Outlooks

The clearest trend in Miami today is still flight to quality. Leasing demand is being captured disproportionately by newer, highly amenitized Class A buildings, while older and less competitive office assets face more pressure on occupancy and rent growth. Savills noted that 2025 leasing activity reached 5.0 million square feet, up 36% year over year, but also emphasized that demand is being driven by a relatively small pool of premium assets rather than a broad-based market recovery. At the same time, CBRE's reporting shows that Brickell continues to lead rent growth, while new deliveries such as Wynwood Plaza are adding selective supply to the market. Going forward, Miami should remain attractive because of its limited trophy inventory, strong lifestyle appeal, and durable in-migration trends, though performance will likely stay concentrated in the best buildings and best submarkets.

Miami Office Vacancy Rate by Submarket (2025-2026)



MARKET COVERAGE: SAN FRANCISCO

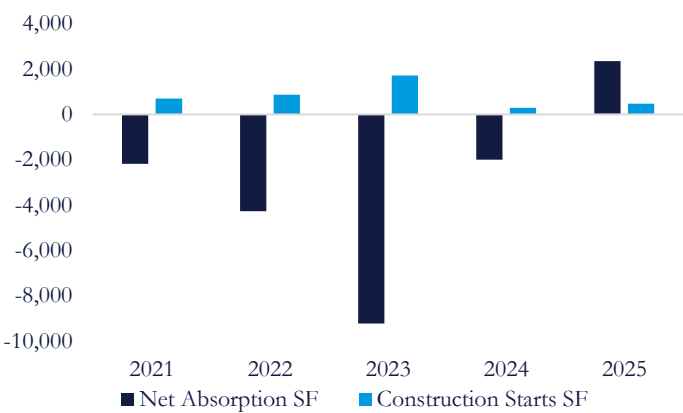
Market Drivers

Between 2020 and 2024, the San Francisco Bay Area, along with the rest of the US contracted due to pandemic and remote workplace policies. Most markets are still struggling to come back, but San Francisco has shown to be the exception. At the end of 2025, San Francisco’s office real estate market closed with strong fundamentals including, positive net absorption, declining vacancy rates, increased leasing activity, and growing tenant demands.

San Francisco has become a hub for technology, specifically AI and crypto. These growing markets have brought an increased amount of venture capital funding to the market. AI companies have accounted for 62.3% of VC funding as of Q4 2025. The market closed out the year with \$136.2 billion across 2,567 deals accounting for 73.5% of all US venture capital funding for AI. Anthropic holds the largest amount of space (400,000 sf). AI and crypto firms leased around 1.9 msf in 2025. Both established and new companies have expanded their office space during the year to allow for further growth.

Aside from tech driven areas, office leasing activity has concentrated in submarkets adjacent to residential neighborhoods including, Mission Bay, Showplace Square, North Waterfront, and Jackson square. Class A space accounted for 88% of total leasing volume in the first half of 2025.

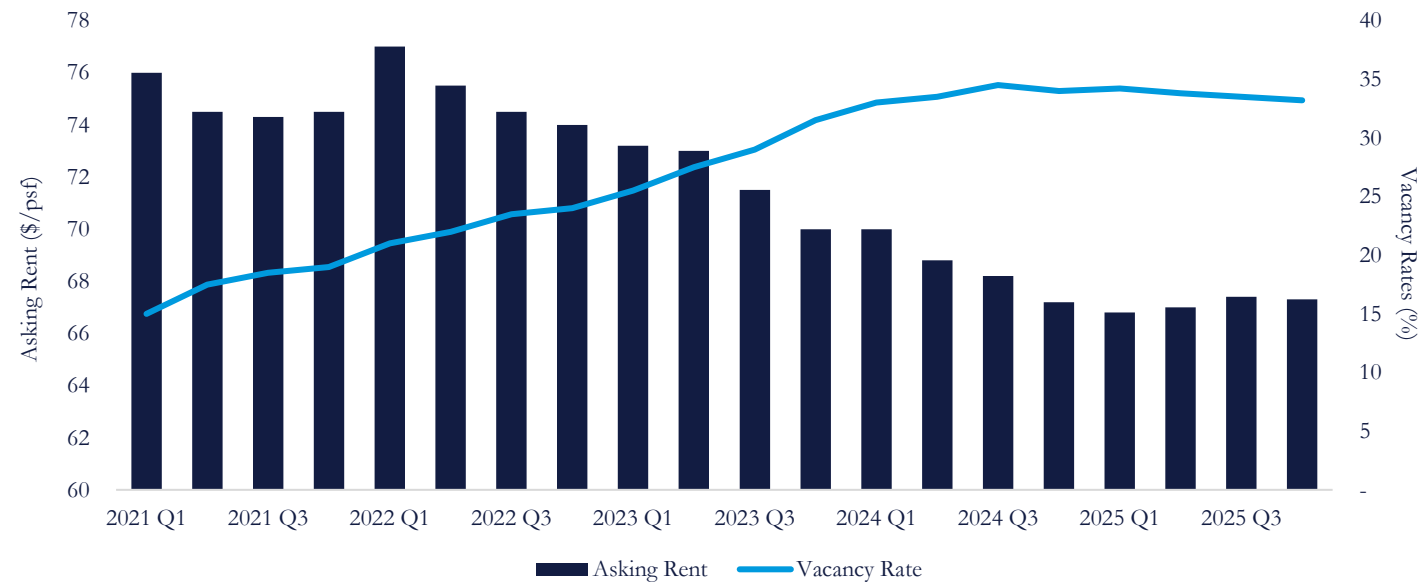
SF: Net Absorption & New Supply



Pivotal Activity

San Francisco closed 2025 with a leasing volume of 2.23 msf in Q4, with a total of 9.38 msf in the entire year. This was a 41.3% YoY increase from 2024, and the largest year since pre-covid levels of 10.7 msf in 2019. Momentum is expected to continue through the next two years with 8.4 msf of active tenant demand. The market’s total availability has also dropped by 10.8% YoY, 3 msf for the year and almost 2 msf QoQ. Most importantly, San Francisco has seen the highest growth from 2024 to 2025 with a 217% increase in net absorption. This growth is expected to continue through the next few years as Silicon Valley continues to grow, increasing demand for office space in the technology sector specifically.

Vacancy Rates & Asking Rent Trends (USD)

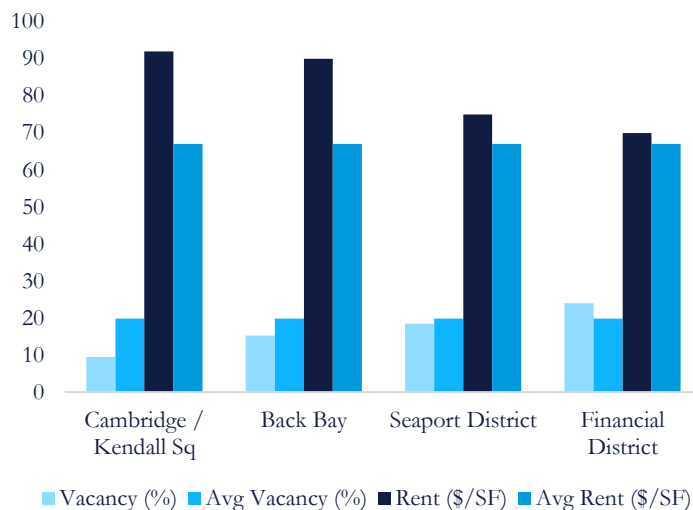


MARKET COVERAGE: BOSTON

Post Pandemic Market Dynamics

Boston's office market has experienced significant structural change following the COVID-19 pandemic. The overall demand for traditional office space, particularly in older Class B and Class C buildings, has declined due to hybrid work adoption. Due to its concentration of innovation-driven industries including biotech, healthcare, technology, and higher education, Boston remains one of the most resilient office markets in the United States. Submarkets such as Cambridge, Seaport District, and Back Bay have continued to attract tenants due to their proximity to research institutions like MIT and Harvard University, as well as Boston's strong venture capital ecosystem. Newer Class A buildings with modern amenities and high sustainability maintain stronger occupancy relative to older inventory.

Boston Vacancy and Rent (USD)



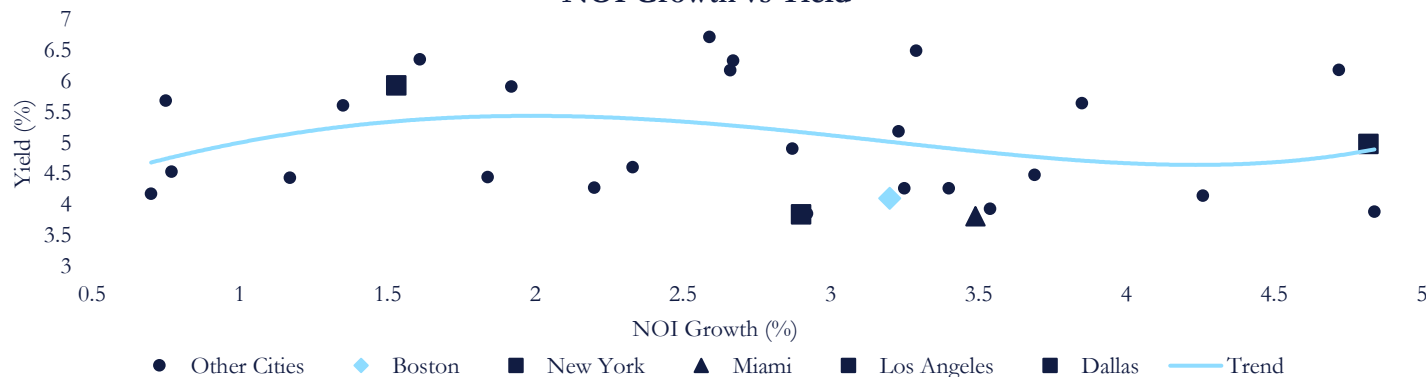
Capital Markets Activity

As higher interest rates and elevated vacancy levels have widened bid-ask spreads between buyers and sellers, Boston's office investment market has experienced a significant slowdown. As investors adjusted underwriting assumptions and lenders tightened credit conditions, transaction volume has sharply declined in the Greater Boston office market between 2022 and 2024. Despite this slowdown, due to its long-term fundamentals and highly educated workforce, Boston continues to attract institutional capital. Office cap rates in Boston currently range between 6% and 7% for stabilized Class A assets, with higher cap rates being reserved for older buildings that require repositioning. Investment activity is expected to recover gradually, particularly for well-located assets with strong tenant rosters as interest rates stabilize and price discovery improves.

Development & Conversion Pipeline

New office development across Boston has considerably slowed as developers are reassessing project feasibility in response to rising construction costs, and higher financing rates. The current pipeline has contracted to approximately 3–4 million square feet under construction, while several major projects were delivered between 2020 and 2023. Office-to-residential conversions are occurring at the same time, particularly in areas where vacancy rates remain elevated such as Downtown Boston's Financial District. Several older Class B and Class C office buildings have been identified as potential candidates for conversion as policymakers aim to reduce excess office supply while addressing Boston's housing shortage. Potential building conversions could help stabilize the office market over the long term, along with its limited supply.

NOI Growth vs Yield



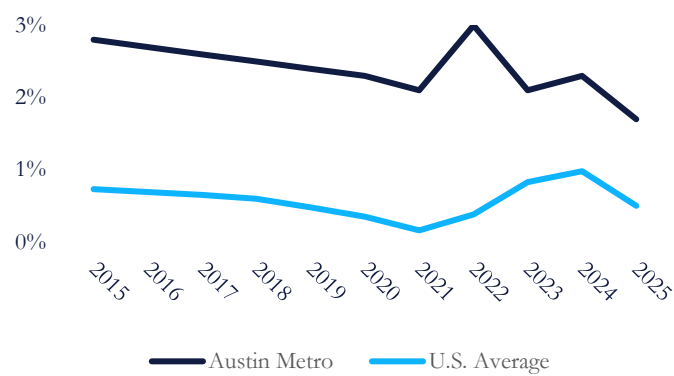
MARKET COVERAGE: AUSTIN

Market Trends & Outlooks

The COVID-19 pandemic fundamentally changed the Austin office real estate market, as it promoted remote and hybrid work among office-demanding employees, and promoted property development through net-zero interest rates. Creating structural tension as the growing supply of office space outpaced the demand. Since 2020, roughly 14 msf of new speculative office space entered the market, many of which remained empty as citywide office vacancy rates rose to 31.3% in Q4 of 2024. A number double that of its pre-pandemic averages.

In contrast, 2025 marked a turning point for the market, as overall office availability declined 230 basis points, a decline that was consistent throughout all four quarters. With only four new office projects scheduled for 2026, supply is likely to continue trending downward, a trend that is heavily skewed towards Class A properties, showcasing an ununiform recovery. As flight-to-quality trends are pulling tenants towards newer, renovated office spaces, with class A asking rents citywide reaching \$52.25 psf, and CBD Class A space averaging \$68.43 per square foot in Q4 2025. There is also an increasing amount of tension amongst Class B landlords as tenants are utilizing expiring leases to upgrade to Class A spaces rather than renew. As supply continues to trend downward, significant capital investment is needed for these Class B office spaces to survive. As the construction pipeline continues to reach historic lows, supply pressure on Class A offices will ease further, and the performance gap between these two spaces will widen.

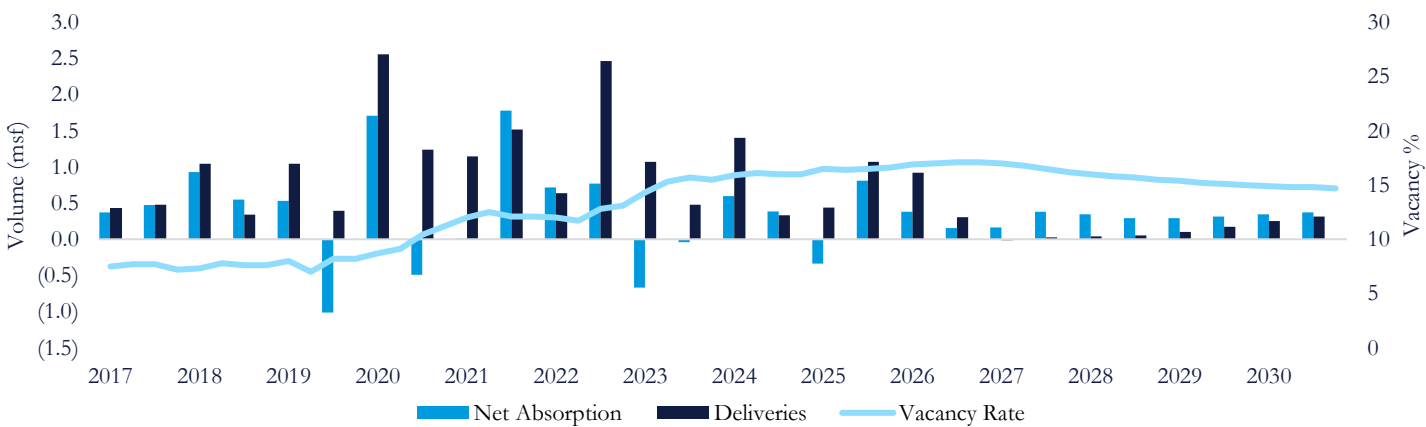
Austin Metro vs. U.S. Annual Population Growth Rate



Demand Drivers

Austin has emerged as one of the fastest growing urban areas in the United States. As of July 2024, the Austin-Round Rock metropolitan area housed a population of 2.55 million residents, up around 48% from its 2010 population of 1.72 million. Between 2023 and 2024, the metro added roughly 60,000 residents, many being workers and companies relocating from higher cost markets, such as the Bay Area. This growth has been fueled by the expansion of Austin's technology sector. Tech-related employment accounts for approximately 17% of total metro employment, and Austin's tech workforce grew upward of 30% since 2018. Solidifying itself as the 5th-ranked tech talent market. This concentration of high growth tech firms promotes demand for quality office space, particularly in CBD and emerging submarkets.

Historical Absorption, Deliveries and Vacancy

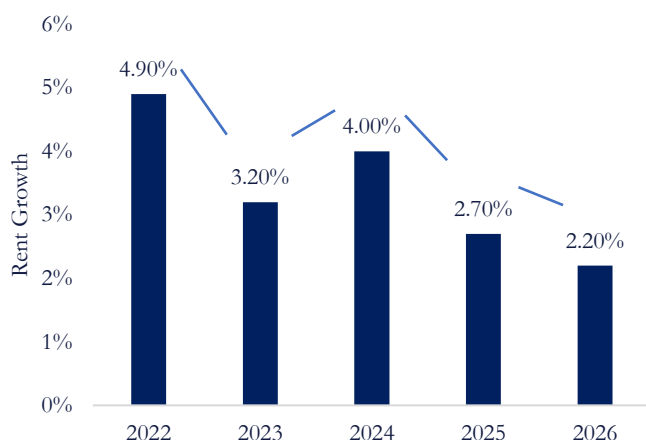


GLOBAL TRENDS: THE EU

Market Outlook

European office vacancy reached 8.7% across 40 major markets by year-end 2024, up nearly 380 basis points from pre-pandemic levels, though the pace of increase slowed sharply through the year. Prime rents grew 4.5% year-over-year in Q1 2025, with CBD assets continuing to outperform peripheral submarkets. Investment volumes climbed to €183 billion in 2024 as bid-ask spreads narrowed following ECB rate cuts. Grade A assets in core locations captured over 55% of leasing activity, as occupiers trade down in size while trading up in quality.

EU Prime Office Rental Growth (YoY%)



Key Cities to Watch

London, Amsterdam, and Madrid are leading the European office recovery, with vacancy rates in each market either peaking or already declining as leasing demand absorbs available supply. Warsaw recorded a 36% year-over-year increase in leasing take-up in Q1 2025, underpinned by strong GDP growth across Central and Eastern Europe, which is expected to outperform the broader European average through 2026. Barcelona and Berlin are seeing new development activity pick up, supported by improving occupier demand and stabilizing construction costs. Paris faces elevated vacancy in peripheral submarkets despite resilient CBD fundamentals, while Munich is expected to see take-up grow by at least 5% by year-end. Smaller but fast-growing markets including the Netherlands, Belgium, and Denmark are projected to outpace core regions in transaction volume growth, as investors seek higher-yielding opportunities beyond traditional hubs.

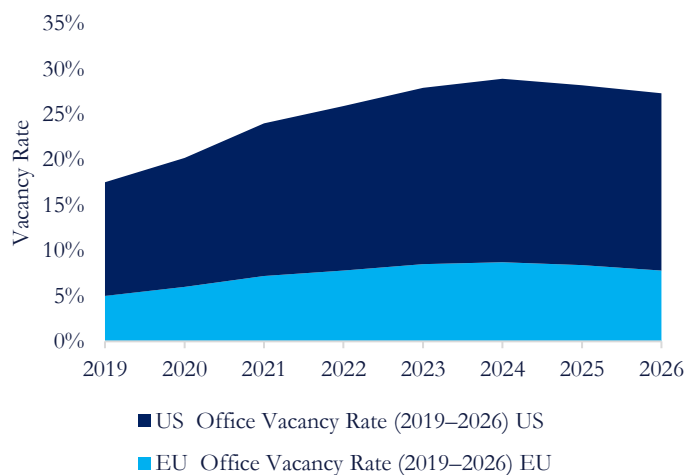
Future Trends

European office development completions are forecast to fall to 3.1 msf in 2026, the lowest annual level since 2017, as high construction costs and tighter lending conditions constrain new supply. With speculative deliveries representing just 1.6% of total stock, scarcity of quality space is expected to put upward pressure on prime rents. Overall prime rental growth is projected at 2.2% per annum through 2026-2030, with CBD markets leading as vacancy continues to drift lower from its 2024 peak.

Recovery in Transaction Volume

European commercial real estate transaction volumes reached €183 billion in 2024, up from a cycle low of €150 billion in 2023, marking a meaningful inflection point after two years of suppressed activity driven by elevated interest rates and wide bid-ask spreads. With the ECB having cut rates through the second half of 2024, financing conditions have improved materially, and investor sentiment has followed. Total 2025 volumes are projected at €200 billion, with 2026 expected to reach €215-225 billion as more assets return to market driven by a wave of upcoming loan and equity maturities. Capital is re-entering broadly, with sovereign wealth funds, insurance money, and private equity all increasing allocation to European real estate. Alternative sectors now account for a record 20% of transaction volume, reflecting growing investor appetite beyond traditional office and retail as the market continues to mature and diversify.

EU vs US Office Vacancy Rate



GLOBAL TRENDS: APAC

Market Outlook

The Asia-Pacific office sector has seen stronger resilience than many other global markets. In 2025, the sector attracted around \$58.5 billion in investments across the top nine countries in the region, marking a strong 21% YoY increase and accounted for 36% of total real estate investments. Net absorption reached 84 msf in 2025, higher than 76 msf in 2024, showing growth in the sector.

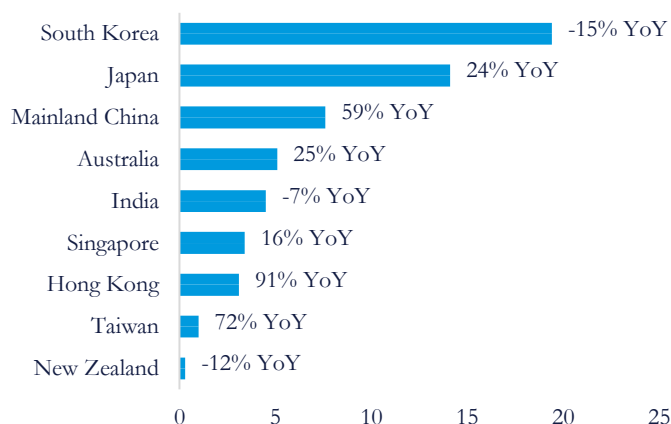
The office sector is a preferred asset class for institutional investors in this region due to its scale, transparency, and reliable income source. This is due to long-term and high-quality tenants currently occupying the offices.

Benchmark lending rates are stabilizing. Grade A offices in prime central business districts are showing growing interest. This is another example of the flight-to-quality bifurcation that is occurring in the United States.

The office supply pipeline is drying up due to increased construction costs across a majority of the region. Tenant demand is staying strong and increasingly prioritizing high-profile offices with luxurious amenities that support modern working strategies. This combination is putting pressure for rent growth in the central markets.

This performance is not even, secondary and lower-quality offices are experiencing high vacancy rates and lower rental growth. Landlords are forced to find solutions like redevelopment, or higher risk tenants.

Investment Breakdown per Country (\$B)



Future Trends

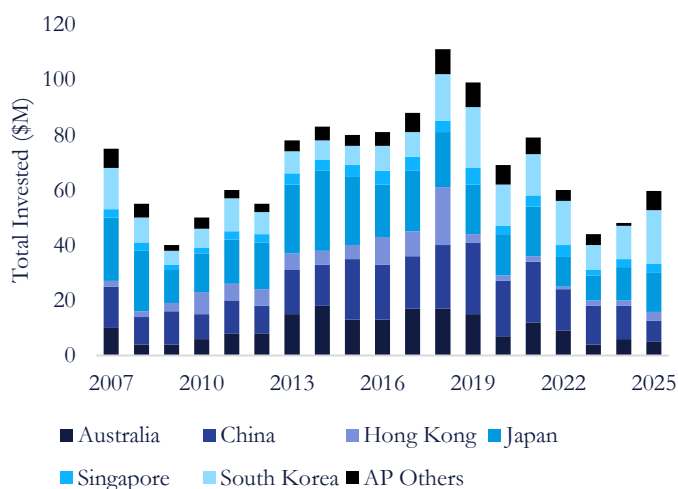
Varying geopolitical and economic dynamics in the distinct countries are shaping capital allocations across the Asia-Pacific office market. Japan, Australia, and Singapore signal stable and transparent markets which attract institutional investment in all countries. Predictable economic conditions and developed regulatory environments in these countries have allowed companies to gain traction and expand.

Simultaneously, emerging office hubs such as India and parts of Southeast Asia are improving investor confidence pushing companies to stretch their operations and expand to prospering cities in the Asia-Pacific market to diversify their global supply chains. With improving corporate presence these markets are beginning to experience growth in the office sector.

Sustainability and technology innovations are increasingly becoming key factors for investors and tenants. ESG performance and innovative building infrastructure is influencing capital allocation decisions. Cities leading in sustainable development such as Sydney, Singapore, and Tokyo are attracting long-term support and investment continuing the trend of demand for high-quality offices.

South Korea has emerged as the largest recipient of investment in the office sector with roughly \$19.4 billion in 2025. This was largely driven by the strong demand for high-quality, Class A office properties in Seoul's central business district. Limited supply has driven strong investor interest and stable pricing in the market, therefore improving investment volume.

Direct Office Investment per Country



GLOBAL TRENDS: LATAM

Market Overview

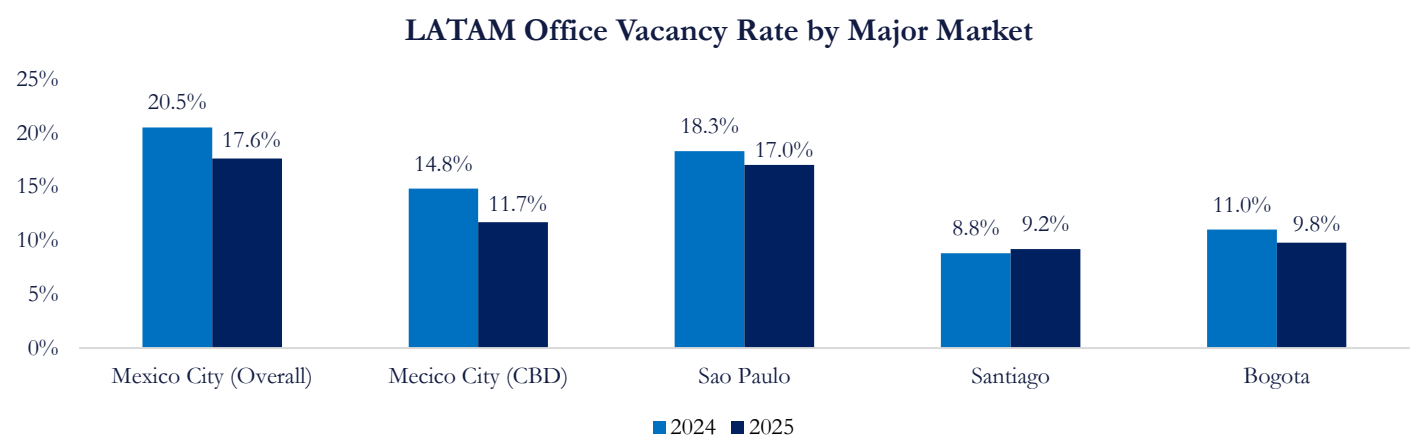
Latin America's office market is in a strong recovery. Occupied office space across the region increased 43% year over year between 2H 2024 and 1H 2025, the strongest rebound since COVID-19. The three dominant markets, Mexico City, São Paulo, and Santiago, account for 50% of the region's total office supply. Regional inventory grew 3.7% in 2025 and is projected to grow 4.2% in 2026. The broader LATAM office market is valued at approximately \$42.3 billion and is forecast to reach \$61.7 billion by 2032, growing at a 4.8% CAGR. Flight-to-quality demand is the primary driver, with tenants consolidating into Grade-A, green-certified buildings in prime CBD corridors as hybrid work models continue reshaping occupier footprint strategy.

Headwinds

Latin America's office market faces several meaningful challenges heading into 2026. Currency volatility remains the most persistent risk across the region. Argentina's peso fell 11% before stabilizing in April 2025, and Brazil's real has traded within a 15% band for 18 months, forcing foreign investors to either price in costly hedges or accept significant translation losses on returns. Even the most sophisticated institutional players, like Prologis, have flagged that a 10% adverse FX move could trigger over \$150 million in derivative settlements. Beyond currency, elevated interest rates are constraining new development. Brazil's Selic rate held at 11% in 2025, pushing lenders to demand wider spreads and additional equity, raising total project costs and thinning achievable leverage across the market. Mexico City, despite its CBD recovery, ended 2025 with an overall vacancy rate of 17.6%, reflecting meaningful oversupply in non-prime and fringe submarkets that continues to weigh on broader market performance. Regulatory complexity and inconsistent land title frameworks across the region further complicate institutional capital deployment, with permitting timelines and legal structures varying significantly from country to country and city to city.

Tailwinds

The outlook for LATAM office is increasingly positive, driven by structural demand shifts and major infrastructure investment. Prime CBD submarkets in São Paulo, Bogotá, and Santiago posted single-digit vacancy throughout 2025, with green-certified buildings commanding 10% to 15% rental premiums over non-certified stock as corporates link workplace quality to talent retention. Nearshoring is emerging as one of the most powerful demand drivers in the region. USMCA provisions are pushing electronics and auto production into Mexico, while time-zone alignment with North America and bilingual labor pools are propelling Bogotá and São Paulo up the global capability center rankings. Cushman & Wakefield recorded a double-digit jump in capability center lettings during 2025, led by fintech and software majors. Nubank committed \$500 million to add over 5,700 workstations across Brazil and Colombia, signaling a broader on-shoring reversal that favors collaborative office environments. Mexico City's CBD vacancy fell to 11.7% by year-end 2025, down from 14.8% in 2024. Looking ahead, Bogotá's \$4 billion Airport City and the Regiotram line coming online in 2026 are set to open new office corridors and expand the region's investable universe.





Office Capital Markets

CASE STUDY: WeWork

Early Life

In the summer of 2008, Neumann and McKelvey partnered up to lease a floor of a building and began operations under the name GreenDesk. They divided the space based on the need of small businesses and provided shared amenities like internet access and meeting rooms. With this strategy they were making more money than they would have made by simply leasing out the whole floor. In a few months they had 350 tenants and expanded to another one of the landlord's buildings. In 2010 they sold their shares of GreenDesk to the landlord for around \$500K each.

Later that year, the pair founded WeWork with a similar plan, but instead of leasing from a landlord, they bought their own long-term spaces and sublet desks for short periods. Their timing worked since after the Financial Crisis, rents were low and landlords were more open to negotiation. Their first location was in SoHo, which they acquired with \$15 million from an early investor. Well-lit and furnished offices were combined with shared amenities aimed at attracting younger clients for example coffee/beer bars and arcade games.

Their vision was to create spaces for close networking and community building. By the end of 2011, they had four locations in New York, a waitlist for partners, two

IPO

WeWork's IPO in 2019 is one of the worst failed IPOs in history. In August of 2019, the company filed the IPO prospectus which revealed several issues that had previously been hidden from public investors. Despite billions in revenue, the company lost \$1.9 billion in 2018, and \$900 million in the first half of 2019. The corporate structure was protecting Neumann and other executives from paying taxes, while exposing public share holders to being double taxed. Neumann's shares also had twenty times the voting power as other shareholders, meaning even when the company went public, he would remain in power. Because of the backlash, the IPO was put on hold and the later the prospectus was withdrawn. In September of that year, Neumann stepped down as CEO with an exit package valued at \$1.7 billion. In November, SoftBank became the largest shareholder with a \$10 billion bailout. When SoftBank took over, they completely restructured the company. Thousands of employees were laid off, side businesses were sold off, expensive debts were reworked, and leases were reworked. In 2021 WeWork went public through a Special Purpose Acquisition Company (SPAC) merger at a \$9 billion valuation. The company continued to lose billions and in November of 2023 filed for Chapter 11 bankruptcy.

Restructuring

In 2023, WeWork showed signs of financial strains, downgraded stock, governance issues, and a liquidity crunch. In the fall the company stops all interest payments and formally files for bankruptcy for the US and Canadian locations. At the time of the filing, the company had around 500,000 members and more than 500 global locations. In May 2024, the US bankruptcy court approves WeWork's restructuring plan eliminating \$4 billion of debt, renegotiating \$12 billion of future lease obligations, and plans to continue operations in 337 co-working spaces. SoftBank's shares decrease, and Yardi Systems buys in as majority owner, with 60% stake. WeWork exits Chapter 11 with \$450 million of exit financing, and much leaner operations. Later in the year John Santora, with 47 years of experience at Cushman & Wakefield, is brought in as CEO. Now the company is focused on profitability. Operating fewer, but higher quality locations with over 25 msf in 120 cities.

GreenDesk sold for \$1M, duo launched WeWork in NY	\$150M investment from JPM pushes valuation to \$1.5B, opened first international office in London	Enters public bond market, spending accelerates, company continues to expand	SoftBank leads \$10B bailout, becomes company's largest shareholder	Years of losses and restructuring, files bankruptcy, exits expensive leases, slimmed 330 locations, restructured debt	
2010	2014	2018	2019	2023	
2008	2012	2017	2019	2021	2024
Neumann and McKelvey launched GreenDesk	WeWork raises \$17M from Benchmark and others, expands to CA	SoftBank invests \$4.4B, raising valuation to \$20B	WeWork files S-1, reveals large losses and governance issues, IPO collapses, Neumann steps down	WeWork goes public through SPAC at \$9B valuation	Yardi Systems becomes 60% shareholder

Sources: Britannica, Yahoo Finance, WeWork, Bloomberg

OFFICE SUBSECTOR VALUATIONS

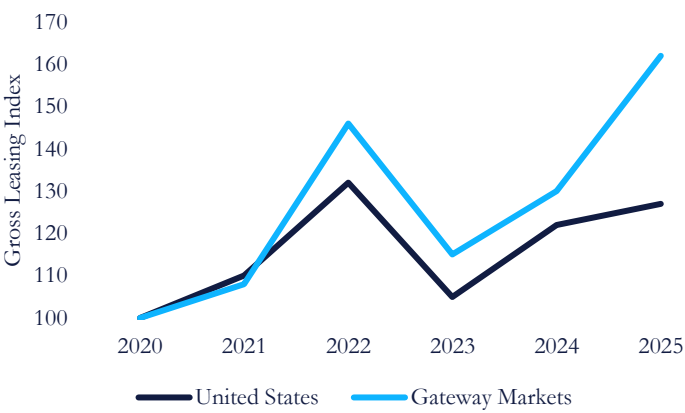
Overview

U.S. office valuations entered 2026 showing signs of measured stability following years of price correction. Higher cap rates and improving availability metrics mark a turning point, as investors are returning to the sector. CMBS office debt issuance rose to \$11.4 billion in Q1 2025, a value that is more than triple that of the same period in 2024. Transaction volume also rose 19% in 2025, as current market trends point towards a more active investment landscape. However, this recovery remains uneven and is increasing exponentially, as there is a wide disparity in pricing and property performance, between Class A and B assets. Capital flows are gradually returning as pricing discovery improves.

Forecast

While the recovery of U.S. office will remain uneven across asset quality and geography, it is expected to gradually stabilize moving from 2026-2027. Vacancy rates are projected to peak between 18%-19% nationally before beginning a slow decline as new supply remains limited and office-to-residential conversions remove inventory. Cap rates are expected to stay elevated with a range between 6.5% -7.5% for stabilized Class A assets. Supported by return-to-office policies and sustained demand for high-quality space, leasing activity is anticipated to improve modestly. Market recovery will be driven more by supply-side constraints and asset repositioning in comparison to demand growth.

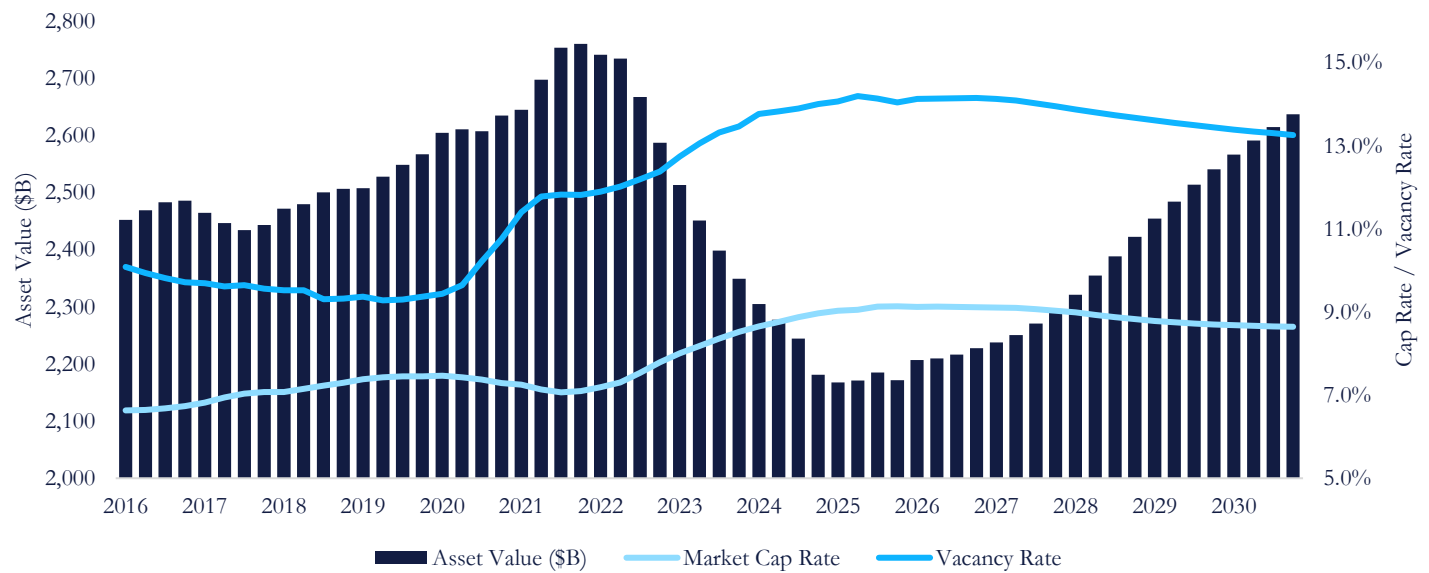
Class A Office GLI: Gateway Markets vs U.S. Average



Subsector Analysis

Office sector performance continues to diverge across asset quality and is driven by a persistent flight-to-quality trend. With occupancy levels stabilizing near 85%-90% in top-tier assets, Class A properties in gateway markets capture a disproportionate share of leasing activity. In contrast, Class B and C buildings face vacancy pressures often exceeding 25% in weaker urban submarkets. Institutional capital remains concentrated in well-located modern assets while older properties experience wider bid-ask spreads showing divergence within capital markets as well. The expansion of pricing dispersion is backed with Class A assets trading at cap rates 100-200 basis points tighter than counterparts.

U.S. Office Market: Asset Values, Cap Rates & Vacancy



Sources: CBRE, Cushman & Wakefield, CoStar

ACQUISITION CASE STUDY: Figueroa at Willshire

Figueroa at Willshire				
Buyer	Seller	Date	Price	\$/SF
Uncommon Developers	Brookfield Properties	June 4 th , 2025	\$210M	\$201

Overview

Figueroa at Willshire, also known as 601 S. Figueroa street was sold by Brookfield to Uncommon Developers in June 2025 for \$210 million. This 1990 vintage, Class A office building is a defining skyscraper in the Los Angeles skyline and is located in LA’s CBD. Brookfield initially purchased this property in 2006 through a portfolio deal. This was the largest office transaction in the Los Angeles market since 2023, and was a relatively complex deal, requiring a dead-in-lieu and seller financing. The property has been struggling lately, at the time of sale it had been suffering from a vacancy rate of 21.4%, which was well above the national average at the time (14%). It’s largest tenant, occupying 114,270 sqft is PWC, with some other notable tenants including Preferred Bank, Acumen, Seyfarth Shaw, and Goodwin. The tower is 52 stories tall, and features amenities such as an open-air lobby, a high-end fitness center, electric vehicle stalls, valet parking, etc.

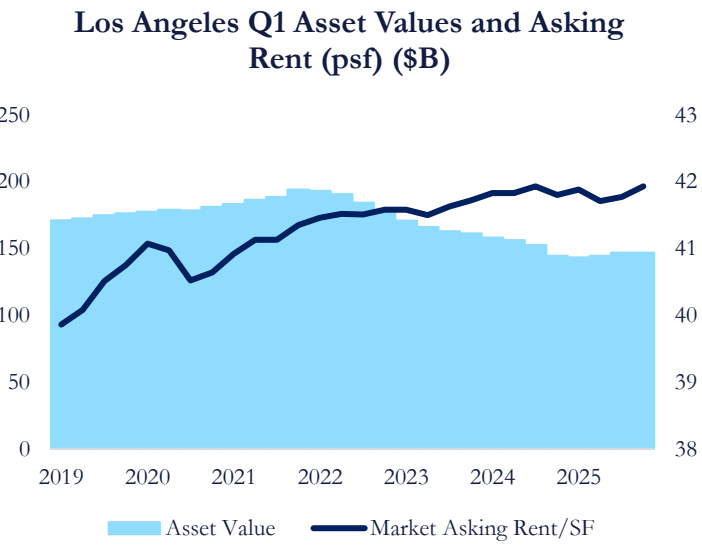
Capital Market Trends

The property is under 80% occupied and sold at a discount. This is not unusual, as other recent sales in the LA area have been closing at discounts of 70% or more from their peaks. At the time of sale, leasing activity in LA was down by over 25%. Despite this, there had been triple the amount of office sales in downtown LA in 2025 compared to 2024, as opportunistic buyers have been aiming to pick up Class A office buildings struggling with high vacancies at discounted prices. This sale proved to be a great example of this trend, as the 52-story tower was sold for over 40% less than it had been sold for 20 years ago. Overall, this transaction serves as a great example of the broader US Office repricing trends. Though they are lowering, relatively higher interest rates and a decreased demand for office space have led to many vacant Class A buildings selling at a discount.



Buyer Spotlight/ Strategy:

Uncommon Developers is a private real estate firm that is based in the San Fernando Valley area. Their strategy with this acquisition is to reposition the property; they have hired Colliers to lead their property management and leasing efforts. They hope that a strong leasing effort, new amenities, and competitive rents will lure tenants back into this struggling property. Uncommon Developers also purchased two office properties in Hollywood for \$45 million in late 2024.



ACQUISITION CASE STUDY: 590 Madison

590 Madison Avenue

Buyer	Seller	Date	Price	\$/SF
RXR Realty	STRS Ohio	August 14 th , 2025	\$1.08B	\$1,080

Overview

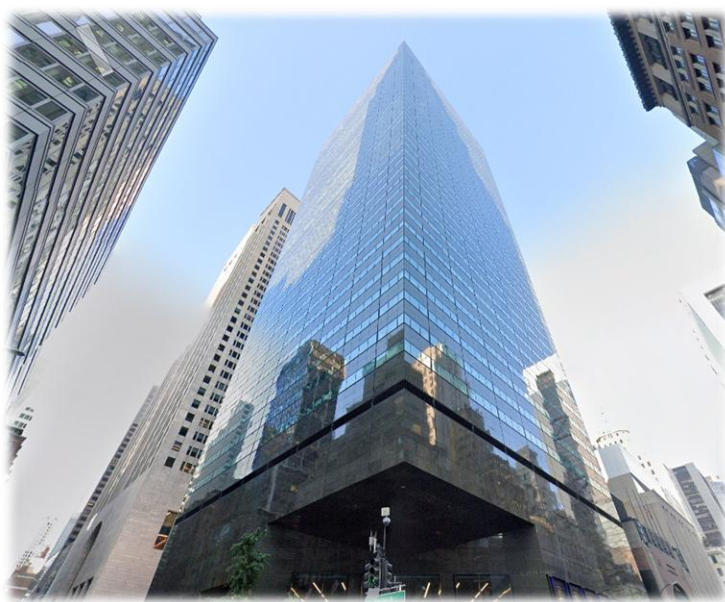
In August of 2025, the 590 Madison Ave acquisition was finalized. This trophy, 1 msf, 42 story, Class A, office tower was previously owned by the State Teacher Retirement System of Ohio (STRS Ohio). It was formerly leased to IBM, but in August RXR took over. This was the biggest purchase in the last three years (March 2022: Blackstone bought 49% stake in 1 Manhattan West for \$2.85 billion). RXR partnered with Elliot Investment Management and was backed by senior mortgage financing from Apollo (\$785 million). This grand purchase shows RXR's "office recovery strategy" of buying Class A and trophy offices at "significant discounts to peak valuation". The company's goal is to buy premium office space from companies who want to exit the space and hold for the long term as biofortification and flight-to-quality rise. This opulent space has attracted over 300,000 sf of new leases from major companies like, Louis Vuitton, Tiger Management, and Apollo. Luxurious developments have been made to create value with over \$100 million overhaul including a \$30 million, 25,000 sf Madison Ave Club amenity suite.

Capital Market Trends

The 590 Madison Avenue acquisition shows the return of capital and growing bifurcation in the U.S. office real estate market. Lower quality and commodity office spaces face pressures and constrained liquidity, but trophy cases like this one do not. Capital has been concentrated in high class offices in central business districts such as the Plaza District. Debt capital is available for trophy office deals but structured more conservatively than previous cycles showing lower loan-to-value ratios due to continued uncertainty and high interest rates. Investors are underwriting these properties in expectations of long-term recovery and rise in flight to quality demand. This deal showcases firms' opportunistic investment strategies, where investors focus on strong tenant rosters, luxury amenities, and proximity to public transportation.

Outlook

Office space in New York, and especially the Plaza district, remains positive. Trophy properties near major transit hubs like the Plaza District and near the Grand Central Market are outperforming with leasing volumes at or near pre-covid levels. As supply continues to shrink, companies race to acquire trophy offices in this area as trends show rising values. This deal may set the precedent for future acquisitions of trophy cases in this district, and other similar areas around the United States. This sale also sets a new benchmark amount for future sales. At around \$1,080 psf, the sale is one of the only sources of recent data that can now be used for future comparable valuations. Owners can begin to compare their properties to 590 Madison Ave and gain some perspective to possible exit opportunities. Overall, the office sector in this area is prosperous primarily for these trophy properties. Older properties face pressures to renovate or convert due to lack of demand. Companies looking to expand to a premium location are typically also looking for premium properties.



ACQUISITION CASE STUDY: Park Avenue Tower

Park Avenue Tower, 65 East 55th Street, New York, NY				
Buyer	Seller	Date	Price	\$/SF
SL Green Realty	Blackstone	January 15 th , 2026	\$730M	\$1,174

Overview

Park Avenue Tower is a 36-story, 621,824 square foot Class A office tower located in the Plaza District of Midtown Manhattan, situated block-through between 55th and 56th Streets just off Park Avenue. Designed by renowned architect Helmut Jahn and completed in 1986, the building stands as one of Midtown's premier addresses, offering exceptional connectivity to four nearby subway stations and proximity to Grand Central Terminal, world-class retail, fine dining, and luxury hotels. The property recently underwent a comprehensive capital improvement program including a fully reimagined lobby, upgraded outdoor plaza, and newly constructed high-end prebuilt office suites targeting financial services and hedge fund tenants. The building is well-leased at below-market rents to a roster of institutional-quality tenants, providing stable in-place cash flow with significant mark-to-market upside as leases roll in the coming years. The acquisition was financed with a \$480 million five-year fixed-rate CMBS mortgage executed through Wells Fargo with participation from JP Morgan and Bank of America, carrying an effective rate of 5.25%. The deal closed on January 15, 2026 and represents one of the largest office transactions in New York City to start the year.

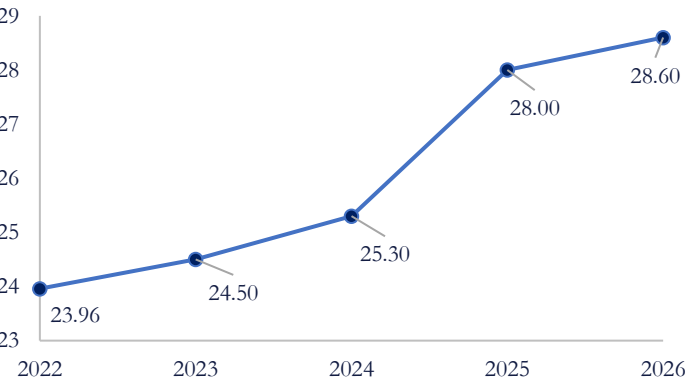
Capital Market Trends

NYC office vacancy fell to 13.1% as of January 2026, down 350 basis points year over year, the lowest among major U.S. markets. Manhattan recorded over \$1 billion in office sales in January 2026 alone, building on \$7.8 billion in total 2025 transaction volume. Average Manhattan office pricing reached \$495 psf in 2025, a 21.5% increase from 2024. Flight-to-quality demand continues to drive activity, with Plaza District and Park Avenue assets commanding premium pricing and outperforming the broader market on leasing velocity and return-to-office compliance.

Buyer and Seller Strategies

Blackstone sold to capitalize on the sharp recovery in Midtown trophy office demand, locking in gains after completing a full renovation of the asset. SL Green acquired the property to deepen its concentration along Park Avenue, where it is already the dominant landlord. The deal aligns with SL Green's strategy of owning well-leased, renovated assets with embedded rent upside in the strongest office submarket in the country. Management cited below-market in-place rents as a key value driver, with significant cash flow growth expected as leases expire and are re-priced at current market rates.

SL Green Manhattan Portfolio Growth
(Square Feet, Millions)



ACQUISITION CASE STUDY: The Link at Uptown

2601 Olive Street, Dallas Texas

<i>Buyer</i>	<i>Seller</i>	<i>Date</i>	<i>Price</i>	<i>\$/SF</i>
<i>Cousins Properties</i>	<i>Kaizen Development Partners</i>	<i>July 28th, 2025</i>	<i>\$218M</i>	<i>\$747</i>

Overview

The Link at Uptown is a Class A, 25-story office building located in the Uptown submarket of Dallas. Developed by Kaizen Development Partners and completed in 2021, the tower totals 292,000 square feet and is one of the most recently delivered Class A office buildings in the submarket. The property is situated three blocks from Klyde Warren park, and is neighboring The Ritz-Carlton, Crescent Court and the Katy Trail. The building includes a dedicated amenity floor, fitness center, conference facilities, and an outdoor terrace with an activity lawn.

Notable tenants include Houlihan Lokey, PMG, McGuireWoods, and Newmark, showcasing a diverse tenant base that occupies many different industries. All of the property's leases were signed post-pandemic, and at the time of sale, the property was 93.6% leased with a weighted average lease term of over nine years.

On July 28, 2025 Cousins Properties acquired the Link for \$218 million, marking the largest 2025 office transaction in the Dallas Fort Worth market by sales price. Cousins financed the acquisition through a combination of unsecured senior notes and ATM equity settlements, placing no property level debt on the buildings purchase.



Capital Market Trends

The Dallas Fort Worth 2025 office market was ranked third nationally in full year net absorption at +2.2 msf. Overall asking rents held stable at \$33.60 psf, and annual rent growth decreased to 1.6% year-over-year. Available sublease space fell to its lowest level since Q2 2020, reflecting signs of demand stabilization post-pandemic. However, construction activity remains constrained as elevated interest rates continue to hinder potential development projects, with year-to-date deliveries totaling 626,215 square feet, the lowest annual total since 2013.

Flight-to-quality demand continues to power market activity, with vacancy rates expected to improve, and limited supply entering the market, Class A assets such as The Link are positioned to benefit.

Buyer and Seller Strategies

Kaizen Development Partners financed the Link at Uptown through a 5-year \$128.3 million floating-rate construction loan. As Dallas office fundamentals demonstrated continued recovery and Class A office demand accelerated, Kaizen decided to sell the fully leased asset and take profit, using the \$218 million sale to retire its outstanding debt and finance other projects. Cousins Properties acquired the Link to expand their Sun Belt office portfolio into Dallas. The firms core approach aims to acquire trophy assets within the fastest growing Sun Belt markets, where flight-to-quality demand is strong. The Link fits this criteria perfectly as the building has state of the art amenities, is nearly fully leased, and is positioned in a CBD area with strong employment and population migration tailwinds.

This transaction reflects a shift towards market recovery post-pandemic, as flight-to-quality demand has begun to reward developers who deliver Class A, amenity rich office buildings.

DEVELOPMENT CASE STUDY: 70 Hudson Yards

70 Hudson Yards, New York, NY					
Developer	Anchor Tenant	Announcement	Development Cost	Building Size	Pre-Leased
Related Companies	Deloitte	March 8, 2023	~1.8B	1.1M SF	73%

Overview

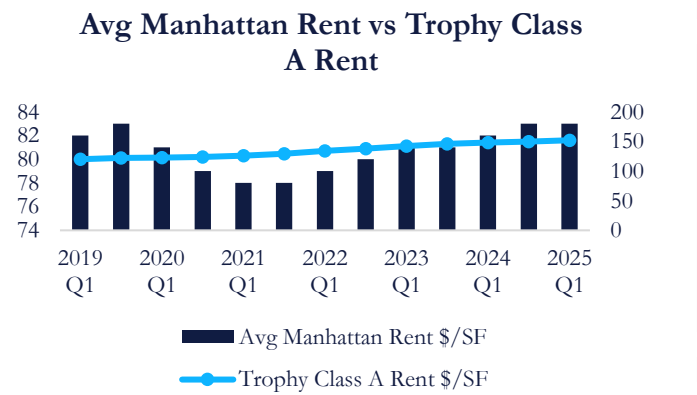
70 Hudson Yards is a planned 1.1 msf Class A office tower located within the Hudson Yards district on Manhattan's west side. Related Companies is developing this project, and it is planned to serve as the future New York headquarters for Deloitte. In May 2023, Deloitte signed a long-term lease commitment for approximately 800,000 square feet which represents roughly 73% of the building's total rentable area. Since the pandemic this lease ranks among the largest office transactions in New York City. This project continuously represents the expansion of the Hudson Yards district, which has emerged as one of Manhattan's most prominent office developments over the past decade. This area has continued to attract major corporate tenants seeking newly constructed office environments with modern amenities, advanced building systems, and strong transit accessibility. The positioning of this development is on the No. 7 subway line, providing direct connectivity to Midtown Manhattan and the broader New York metropolitan region. The broader Hudson Yards development spans over 28 acres and more than 18 million square feet of mixed-use space including office, residential, retail, and hospitality assets. This district has attracted major institutional tenants such as BlackRock, KKR, and Meta following its initial phases opening in 2019. By achieving rents exceeding \$150 psf, trophy buildings in this area have soared above the average.

Capital Market Trends

The development of 70 Hudson Yards reflects the ongoing flight-to-quality trend that shapes the Manhattan office market as tenant demand is increasingly becoming concentrated in newly constricted Class A buildings. While Manhattan office vacancy has elevated since 2023 to 18-20%, premium assets continue to outperform older office inventory. Nationwide office construction starts declined by roughly 40% year-over-year between 2022 and 2024 a result, large-scale office projects now rely heavily on substantial pre-leasing commitments from creditworthy tenants in order to secure financing and move forward. Due to these market conditions, investor focused have shifted toward prime locations with strong long-term demand fundamentals and modern infrastructure.

Buyer and Developer Strategies

For Related Companies, securing a major corporate headquarters tenant prior to construction significantly reduces leasing risk while strengthening the project's financing profile. To obtain capital, large-scale office developments increasingly often require substantial pre-leasing commitments as higher construction costs and interest rates have slowed speculative development. A stable occupancy base has been established while positioning the building to attract additional institutional tenants upon completion.



COMPANY SPOTLIGHT: Related Companies

Company Overview

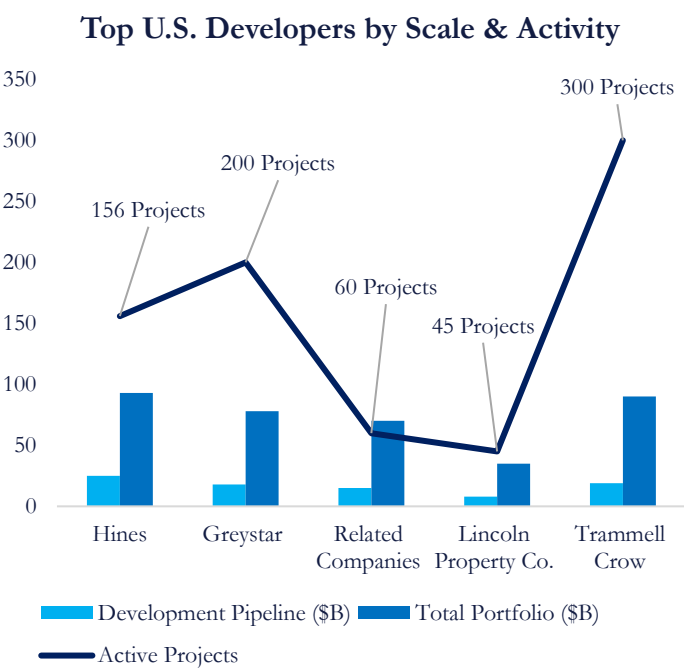
Related Companies is the most prominent privately owned real estate firm in the United States, with over \$70 billion in real estate spanning mixed-use, residential, retail, office, and hospitality across premier high-barrier-to-entry markets. Founded over 50 years ago and headquartered in New York City, the firm operates across Boston, Chicago, Los Angeles, San Francisco, Washington D.C., and London with a team of approximately 4,000 professionals. Related is structured as a fully integrated platform, handling development, acquisitions, management, finance, and fund management internally. The company is led by CEO Jeff Blau alongside Bruce Beal Jr. and Kenneth Wong, following founder Stephen Ross's transition to nonexecutive chairman in 2024. Beyond traditional real estate, Related launched Related Digital in 2025, a vertically integrated data center development and investment platform, and broke ground on a 302 MW data center campus in Cheyenne, Wyoming in October 2025, marking a significant expansion into digital infrastructure. Related is able to differentiate itself in relation to its competitors through its ability to execute very large and complex developments in urban, high barrier to entry markets. While Related has faced some headwinds related to its office portfolio over the past few years, its expansion into data centers/ mixed use provides some growth avenues for the firm.

Growth Strategy and Outlook

Looking ahead, Related has been positioning itself to continue capitalizing on the recent data center trend. While offices still take up the majority of Related's portfolio, the firm has been shifting toward higher-growth sectors such as tech and digital infostructure. Through its newly launched Related Digital sector, they have already begun work related to the +\$1.2 billion Cheyenne data center campus project and have also agreed to build a +\$7 billion data center in Saline Township, MI, which will be the fourth site related to the \$300 billion contract signed between Oracle and OpenAI. These two investments are just the start of the \$45 billion development pipeline that Related has already pledged \$500 million of throughout the US and Canada. This is starkly against their previous investment strategy of primarily gateway city office buildings, but positions Related well to capitalize off one of the fastest growing segments in real estate. As the demand for AI grows, other firms that once primarily invested in office or retail spaces may begin making a similar shift as Related.

Office Investment & Development

Related's office platform is anchored by Hudson Yards, the largest private real estate development in U.S. history, comprising approximately 12 msf of commercial and residential space on Manhattan's West Side. The development houses major office tenants including KKR, BlackRock, Wells Fargo, BCG, and Warner Bros. Discovery across towers 10, 30, 50, and 55 Hudson Yards, establishing the neighborhood as one of the most sought-after business addresses in the country. Most recently, Related and Oxford Properties completed the full \$2.45 billion capitalization of 70 Hudson Yards in January 2026, a 1.4 msf tower designed by Gensler that will serve as the new U.S. headquarters for Deloitte, representing the first major Manhattan ground-up office development launched since 2020. The project secured the largest construction loan in New York since 2020, underscoring institutional confidence in premier office product despite broader sector headwinds, and reflects Related's conviction in the long-term recovery of Class A office demand in gateway markets.



Sources: Related, WSJ

SPOTLIGHT: COPT Defense Properties

Strategy

COPT Defense Properties (CDP) has a unique upper hand on most of its peer companies. In 2023 the company changed its name to showcase its strategy of prioritizing defense clients. 90% of the company's rental revenue came from defense/IT properties. The U.S. government is CDP's largest tenant sourcing 36% of that revenue, and defense contractors accounting for another 51%. Some tenants include the Department of Defense, Lockheed Martin, and Northrop Grumman. Due to the large government involvement, CDP mostly focuses on properties located in major defense hubs like Northern Virginia, Maryland, and DC, locations close to the pentagon and federal agencies. Government contracts are fundamentally stronger than regular tenants because they have less risk, and higher retention rate. CDP has to facilitate high-security processes in Sensitive Compartmented Information Facilities (SCIFs). Therefore, it is valuable for the government to maintain strong connections with one company than to continuously rotate. This makes CDP's operations less cyclical than traditional office real estate.

Context

The current administration has promoted a strong focus and support for the nation's defense department. Over the years the United States has seen a significant increase in military and defense spending. There has been discussions of a proposal to increase the budget to \$1.5 trillion in the next years. Increased spending and involvement in the defense sector will increase demand for SCIFs and other high security offices, which possibly means future projects and contracts for CDP. A recent policy from January 7th, 2026, issued by President Trump changed operating priorities for underperforming defense companies. Instead of focusing on maximizing shareholder value, companies must now focus on servicing the military by increasing production volumes and speeding up delivery times. The government can prohibit stock buybacks and dividends, while tying together executive pay with production metrics instead of share price. CDP benefits from this, as defense companies must scale up production, they require more office space as well. The connection from CDP's performance to defense companies can be seen in their correlated share prices. Apart from policy support, the geopolitical condition has become unstable with various ongoing conflicts such as in the Middle East. These tensions have forced the U.S. government to increase and update its capabilities and resources. Defense contractors must expand operations to support this demand and therefore require new offices near government operations.

Performance

Due to the company's unique tenant portfolio being supported by the mentioned geopolitical and policy tailwinds, COPT Defense Property's share price is outperforming its peers, by a large margin. CDP's stock price over the year is up 15%, while most of its comparable office REITs are down between -17% to -40%. Even after short-term catalysts settle down, the company's long term performance outlook will thrive from reliable rental revenue streams. The stable tenant base, long duration leases, and high occupancy rates in critical locations have pushed the company to maintain consistency in its performance. CDP is in its own niche inside the broader office sector as it faces little cyclical pressures and inconsistencies as its peers. Overall, CDP differentiated itself from its peers and has turned the competitive advantage into profit.

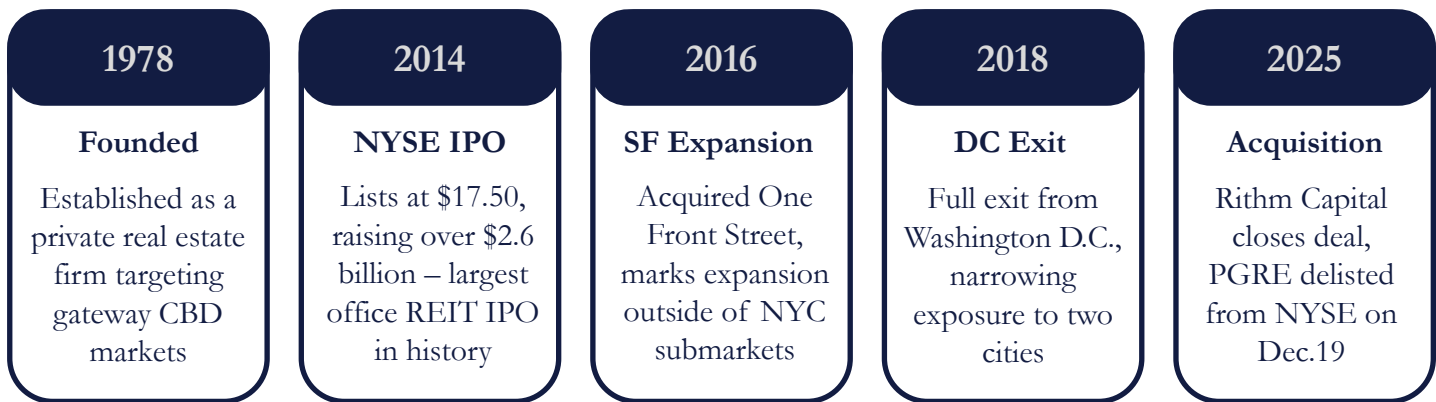
CDP % Price Growth 1Y



CASE STUDY: Paramount Group

PRE-Acquisition Tensions

Paramount Group was a bicoastal office REIT focused on Class A properties in the CBD districts of New York and San Francisco. At acquisition, their portfolio included 13 Class A office buildings, worth roughly \$1.6 billion and totaling 13.1 msf. When the group was taken public in November 2014 it was the largest office REIT IPO in history raising \$2.6 billion. However, the following decade would be defined by hardships as the structural shift towards hybrid work, post-pandemic geopolitical policy, and internal operation issues fragmented Paramount's core markets. In early 2025, the company revealed that at least \$4 million in previously undisclosed payments were used for Chief Executive Albert Behler's personal expenses, and from 2022 to 2024 an additional \$3 million was paid to a private jet company, partly owned by Behler. Payment that were not disclosed until 2025 and once revealed forced many top executives to leave the firm. These tensions paired with looming debt maturity left the Paramount's management impaired, ultimately leading to their acquisition.



Acquisition Rationale

Rithm Capital's acquisition of Paramount Group was driven by the rapid recovery of the Class A CBD office markets in New York City and San Francisco. Acquiring Paramount Group allowed Rithm to gain control of 13 Class A assets well below their true intrinsic value. Positioning Rithm to capitalize as market fundamentals normalize. The deal expanded Rithm's asset platform, adding a fully integrated owner-operator model that has been refined and proven successful across decades of market cycles. Moreover, Rithm expanded into two of the most supply-constrained office markets in the country, where high barriers to entry, limited development pipelines, and increased return-to-office trends will serve as catalysts behind long term NOI growth. Beyond tangible office buildings, this acquisition also served as a diversification strategy, allowing Rithm to expand beyond its core mortgage and finance service operations. Giving the firm a more balanced revenue base and meaningful exposure to a recovering office sector.

Financing Activities

Rithm Capital financed the \$1.6 billion acquisition without taking on traditional acquisition debt, instead funding the deal through accumulated cash flows across its subsidiary businesses and a \$50 million co-investment from Rithm Property Trust. At the time of acquisition, Rithm managed over \$100 billion in total investable assets, utilizing their core operating businesses, most notably Newrez - a mortgage lender and servicer closing over \$16 billion in loans per quarter - to generate necessary cash. Under the merger agreement, all outstanding shares of Paramount were acquired at a \$6.60 per share price, with proceeds paid directly to Paramount's existing shareholders upon the deal's completion. Following the transaction, Rithm issued \$250 million in 8.75% Series F preferred stock, to help regain liquidity post-transaction. This self-funding business model expanded beyond the Paramount acquisition as Rithm also acquired Crestline Management in the same calendar year, reinforcing the scalability of their operating platform as a source of deal-making.

OFFICE REIT M&A

Date	Target	Acquirer	Deal Size	Property Type
Aug 2024	Proscenium	Cousins Properties	\$80M	Class A Office
Dec 2024	Sail Tower	Cousins Properties	\$522M	Class A Office
Dec 2024	Vantage South End	Cousins Properties	\$329M	Class A Office
Jul 2025	City Office REIT	MCME Carell Holdings	\$1,100M	Sun-Belt Office
Sep 2025	Paramount Group	Rithm Capital	\$1,600M	Class A Office
Nov 2025	6Hundred at Legacy Union	Highwoods Properties	\$223M	Class A Office
Nov 2025	2100 M Street	BXP	\$55M	Trophy Office
Feb 2026	300 South Tryon	Cousins Properties	\$318M	Class A Office

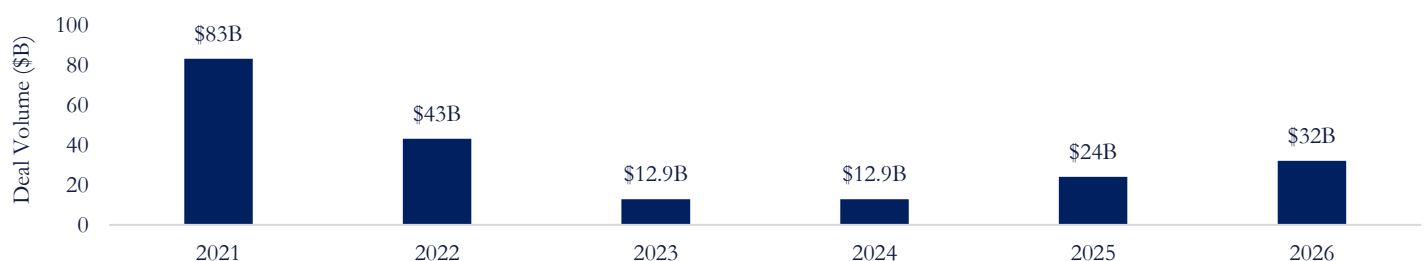
Return to Office Impact on M&A

Accelerating return to office mandates have materially shifted buyer sentiment toward the office sector. Major employers across finance, law, and technology have moved toward four and five day in-office expectations, driving a rebound in leasing demand that is beginning to show up in occupancy and rent growth data. This has given acquirers greater confidence in underwriting future cash flows, unlocking deals that would have been difficult to price just two years ago. Nearly all recent transactions have concentrated in Grade A stock in Sun Belt cities and coastal gateway markets, where occupancy is already recovering and rent growth is accelerating. The bifurcation between top-tier and commodity office space continues to widen, and M&A activity is tracking that divide closely.

M&A Outlook Trajectory

Office REIT deal volume reached \$24 billion in 2025, nearly doubling from \$12.9 billion in 2024, as bid-ask spreads narrowed and institutional conviction in the sector's recovery grew. The dominant theme has been public-to-private transactions, with buyers targeting REITs trading at steep discounts to net asset value. Alternative asset managers and private equity have led the charge, viewing current pricing as a generational entry point ahead of a broader recovery in office fundamentals. Looking into 2026, consolidation is expected to continue as smaller REITs face pressure to either scale up or exit, and trophy Class A assets in gateway cities draw renewed interest from institutional buyers who had largely stayed on the sidelines since 2022.

Real Estate M&A Volume (\$B)



Sources: City Office REIT, BXP, Paramount Group, Sail Tower

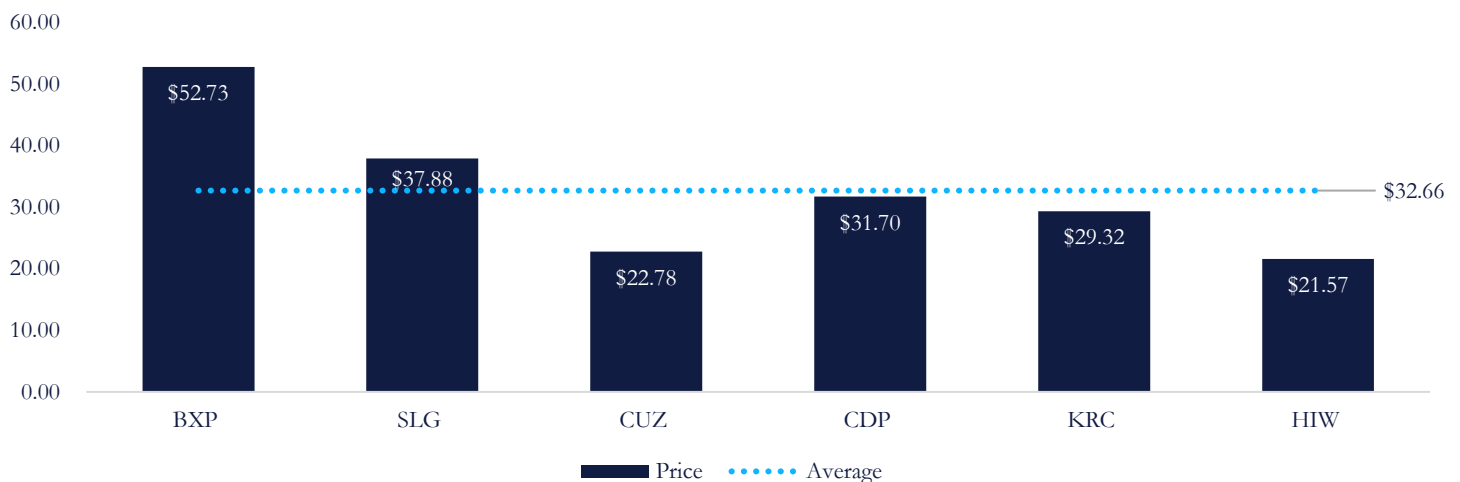


Financial Analysis

PEER UNIVERSE

Logo	Company	Ticker	Description	Price (USD) (3/12/26)
	BXP Inc	BXP	The largest public office REITs that owns, develops, and manages mostly Class A office buildings in large U.S. cities. The company mainly focuses on supply-constrained urban areas such as Boston, New York, San Francisco, and Washington, D.C.	\$52.73
	SL Green Realty Corp	SLG	Self-managed REIT engaged in acquisition, development, management, focused on offices in the New York metropolitan area. SL Green is the largest office landlord in Manhattan and has a concentration on high-profile midtown/downtown assets.	\$37.88
	Cousins Properties Inc	CUZ	Owns Class A offices and opportunistic developments mainly in high-growth markets in the Sunbelt region of the U.S. The company's focus is on modern offices in cities including Atlanta, Austin, Charlotte, Dalas, and Tampa.	\$22.78
	COPT Defense Properties	CDP	Acquires and manages primarily offices and data center properties. Tenants include USG and defense contractors, engaged in national security. Due to the tenant composition, most of the company's portfolio is concentrated in major defense and intelligence hubs.	\$31.70
	Kilroy Realty Corp	KRC	Self-administered REIT focused on properties in major West Coast markets such as Los Angeles, San Diego, San Francisco, Seattle, and Austin. The assets mostly consist of high-quality Class A office and life science assets for technology and innovation tenants.	\$29.32
	Highwood Properties Inc	HIW	Fully integrated office REIT that operates out of Sunbelt markets like Atlanta, Charlotte, Dallas, Nashville, Orlando, Raleigh, Richmond, and Tampa. Company focus remains on business districts with strong population and employment growth.	\$21.57

Market Price Comparison (USD)



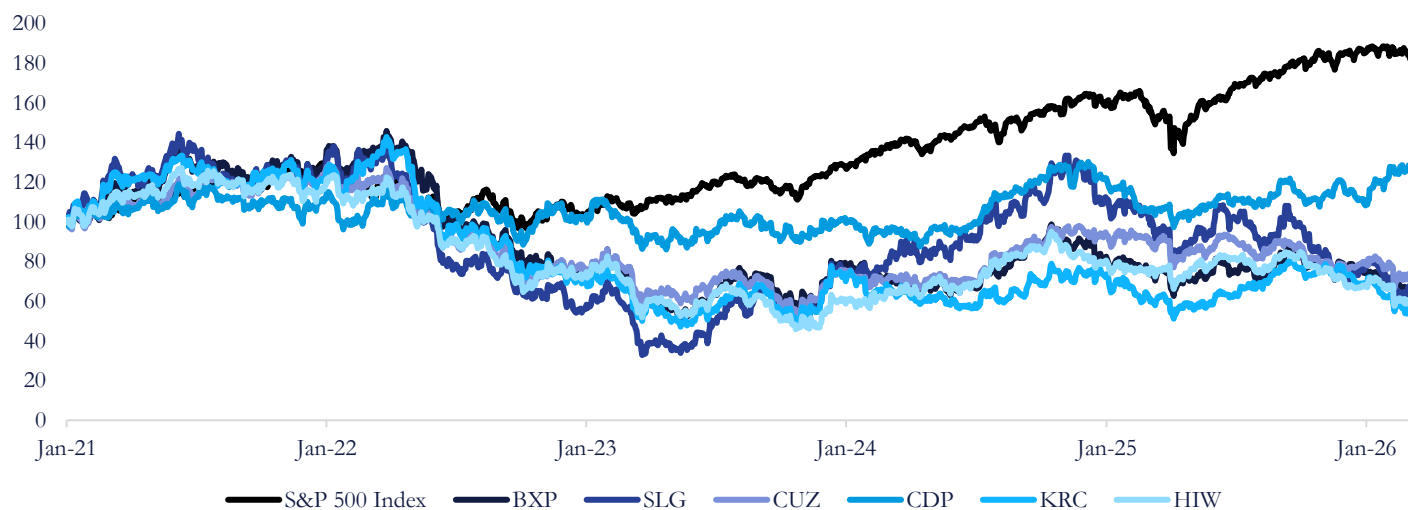
OFFICE REIT OVERVIEW

\$ in millions of USD , excluding Share Price (As of 3/12/26)

Company	Mkt. Cap	Enterprise Value	Share Price	LTM		EV /		EPS	P/E
				Revenue	EBITDA	Revenue	EBITDA		
BXP Inc	8,364.51	28,374.42	52.73	3,482.28	1,764.33	8.15x	16.08x	1.16	49.63
SL Green Realty Corp	2,702.09	8,809.57	37.88	1,003.05	430.69	8.78x	20.45	-1.19	--
Cousins Properties Inc	3,826.63	7,688.28	22.78	993.82	624.01	7.74x	12.32	0.24	94.92
COPT Defense Properties	3,588.68	5,758.02	31.70	763.92	399.91	7.54x	14.4	1.32	24.27
Kilroy Realty Group	3,474.51	9,178.29	29.32	1,112.67	671.45	8.25x	13.67	2.44	21.74
Highwoods Properties Inc	2,371.21	6,447.94	21.57	806.11	504.43	8.00x	12.78	0.54	39.61
Lower	2,371.21	5,758.02	22.78	763.92	399.91	7.54	12.32	-1.19	21.74
Median	3,531.60	8,248.92	30.51	998.43	564.22	8.07	14.03	0.85	39.61
Mean	4,054.61	11,042.75	32.66	1,360.31	732.47	8.08	14.95	0.75	46.03
Upper	8,364.51	28,374.42	52.73	3,482.28	1,764.33	8.78	20.45	2.44	94.92

The above table provides financial metrics on our peer universe of publicly traded office REITs. These REITs own and operate various office properties across the United States. The group spans market capitalizations from around \$2.4 billion to \$8.4 billion. BXP represents the largest company in the peer universe with market capitalization significantly higher than the median of \$3.5 billion. The peer set shows relatively consistent earnings multiples with enterprise value to EBITDA ratios ranging from 12.78x to 20.45x, with a median of roughly 14.03x. SL Green shows the highest multiple reflecting the decreasing EBITDA rather than a premium valuation. This indicates continued pressure across the office sector's leasing activity and vacancy rates remain above pre-COVID levels. In addition, like most real estate sectors, rising borrowing costs and higher interest rates have increased refinancing risks and decreased property valuations. This has caused a decline in transaction activity across the office sector and shifted capital towards other sectors. These office REITs have underperformed the S&P 500 and have been underperforming the index since 2023. This reflects the pressure on the office sector as demand for office space declined due to a shift to hybrid work. COPT Defense Properties is seeing a rise recently because the company's portfolio is supported by U.S. national defense and intelligence alongside of traditional office demand like its peers.

S&P 500 vs. REIT Relative Returns (USD)



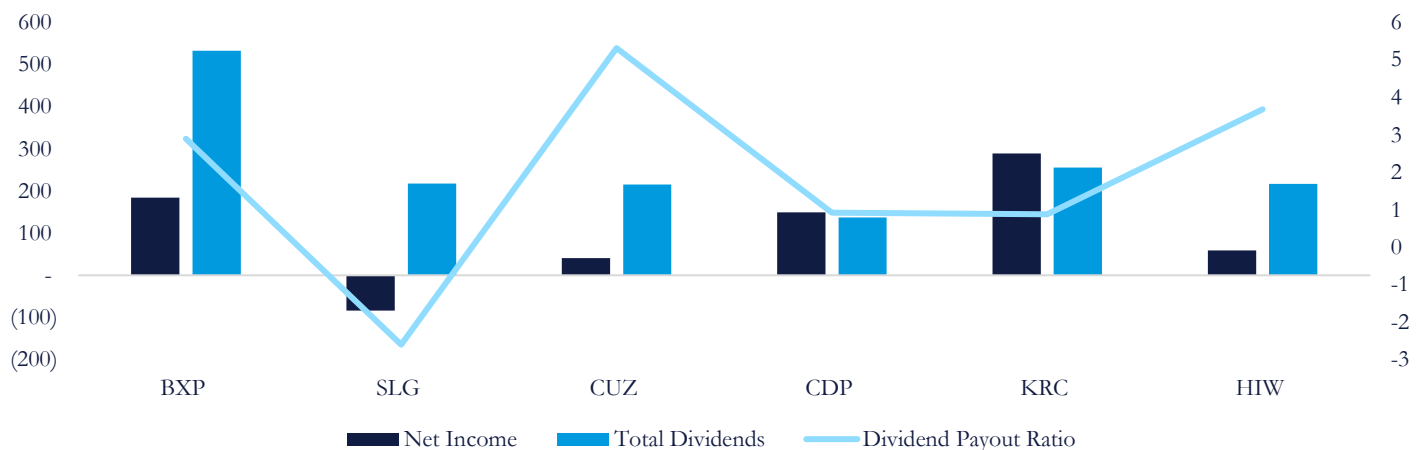
COMPARABLE: BASIC

\$ in millions of USD (As of 3/12/26)

Company	Occupancy Rate	Number of Properties Owned	Total Square Feet (Millions)	Total Assets	Dividend Yield	Dividend Payout Ratio
BXP Inc	86.7	171	53.3	26,166.2	5.3	2.9
SL Green Realty Corp	90.0	26	30.7	11,082.6	8.2	-2.6
Cousins Properties Inc	88.8	40	20.6	8,890.1	5.6	5.3
COPT Defense Properties	95.5	201	22.4	4,701.8	4.0	0.9
Kilroy Realty Group	81.4	112	17.1	10,915.1	7.4	0.9
Highwoods Properties Inc	85.3	135	27.8	6,273.8	9.3	3.7
Lower	81.4	26	17.1	4,701.8	4.0	-2.6
Median	87.8	112	25.1	9,902.6	6.5	1.9
Mean	88.0	110	28.7	11,338.3	6.6	1.9
Upper	95.5	201	53.3	26,166.2	9.3	5.3

Across the six office REITs analyzed, occupancy rates cluster in a relatively tight range of 81.4% to 95.5%, with COPT Defense Properties leading at 95.5% largely due to its government-tenant focus, which insulates it from the broader return-to-office uncertainty facing commercial landlords. BXP stands out as the clear market leader by scale, with 53.3 msf across 171 properties and \$26.2 billion in total assets, nearly double the next largest peer. Cousins Properties and Highwoods both reflect the Sun Belt office thesis, with occupancy rates above the peer median and portfolios concentrated in high-growth markets. Highwoods offers the highest dividend yield in the group at 9.27%, suggesting the market is pricing in meaningful risk relative to its earnings, though its payout ratio of 3.68x remains within a manageable range. SL Green is the notable outlier, posting a negative dividend payout ratio of -2.6x, reflecting a period where total dividends paid exceeded net income, a dynamic consistent with the ongoing pressure on New York City office assets. COPT Defense properties shows the lowest dividend yield at 4.0% reflecting investor confidence in the stability of the company. This again comes from their low-risk tenant portfolio which includes a large amount of government investment and reputable defense companies. COPT Defense Properties and Kilroy both share a dividend payout ratio of 0.9x reflecting a more conservative approach as the companies are earning more than they are distributing in dividend payments. At the median, the peer group trades at a dividend yield of 6.5% and maintains occupancy of 87.75%, setting a reasonable benchmark for evaluating relative value across the sector.

Dividend Payout Ratio (\$M)



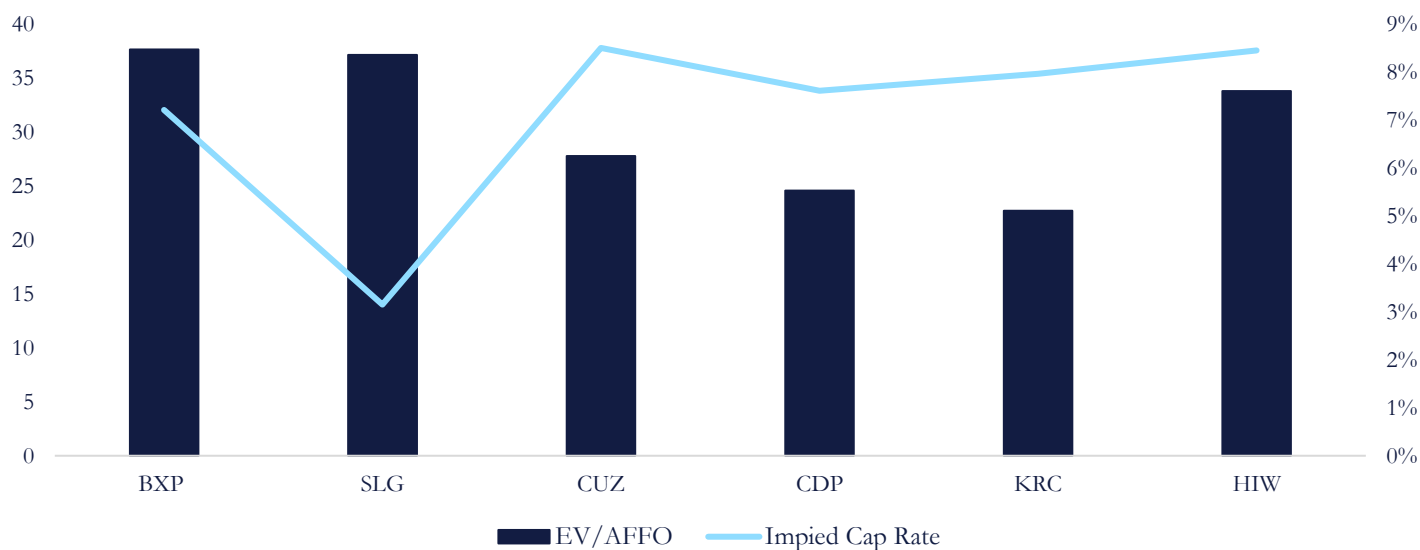
COMPARABLE: VALUATION

\$ in millions of USD (As of 3/12/26)

Company	EV/FFO	EV/AFFO	FFO/Share	P/FFO	Implied Cap Rate
BXP Inc	26.05	37.64	6.87	7.68	7.21%
SL Green Realty Corp	20.13	37.13	6.16	6.15	3.15%
Cousins Properties Inc	16.07	27.77	2.85	8.00	8.50%
COPT Defense Properties	18.35	24.57	2.72	11.66	7.61%
Kilroy Realty Group	18.14	22.69	4.20	6.98	7.96%
Highwoods Properties Inc	16.75	33.79	3.48	6.20	8.45%
Lower	16.07	22.69	2.72	6.15	3.15%
Median	18.25	30.78	3.84	7.33	7.78%
Mean	19.25	30.60	4.38	7.78	7.14%
Upper	26.05	37.64	6.87	11.66	8.50%

Across the REIT peer set, uncertainty surrounding long-term office demand and elevated vacancy levels are reflected through the valuation multiples remaining compressed. EV/FFO multiples range from 16.1x to 26.1x with a median of approximately 18.3x, while EV/AFFO multiples show a wider dispersion between 22.7x and 37.6x. BXP trades at the highest EV/FFO multiple which is supported by their scale, institutional-quality portfolio, and concentration in gateway markets where Class A space remains more silent. In contrast, Cousins and Highwoods trade at lower multiples which reflects their higher perceived risk tied to tenant rollover and market-specific vacancy trends. Implied cap rates across the peer group range from 3.1% to 8.5% with a median of 7.8%, highlighting meaningful divergence in asset quality, lease durability, and investor sentiment. SL Green's notably low implied cap rate is driven primarily by depressed earnings rather than a premium valuation indicating a disconnect between pricing and underlying cash flow performance. Conversely, investors are demanding greater returns to compensate for leasing risk and slower recovery expectations suggested by higher implied cap rates for peers such as Cousins and Highwoods. Office REIT valuations reflect a sector still in transition with compressed multiples and elevated cap rates signaling uncertainty. Capital and performance are increasingly concentrated in high quality and well-located assets.

EV/ AFFO to Implied Cap Rate



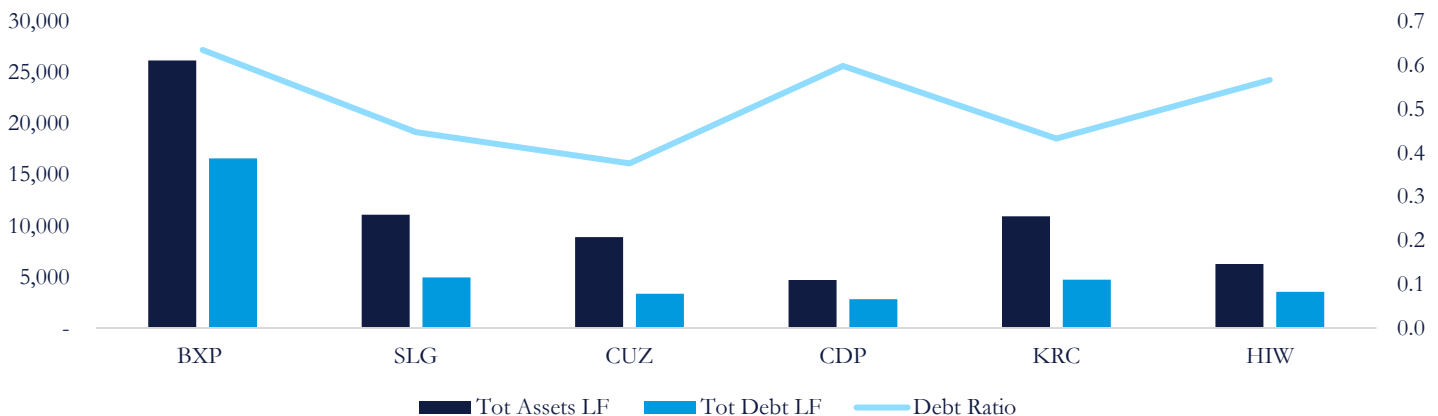
COMPARABLE: LIQUIDITY

\$ in millions of USD (As of 3/12/26)

Company	Total Assets	Total Debt	Debt Ratio (TD/TA)	FFO / Total Debt
BXP Inc	26,166	16,608	0.63	0.07
SL Green Realty Corp	11,082	4,957	0.45	0.09
Cousins Properties Inc	8,890	3,340	0.38	0.14
COPT Defense Properties	4,701	2,812	0.60	0.11
Kilroy Realty Group	10,915	4,717	0.43	0.11
Highwoods Properties Inc	6,273	3,554	0.57	0.11
Lower	4,701	2,812	0.38	0.07
Median	9,902	4,135	0.51	0.11
Mean	11,338	5,998	0.51	0.10
Upper	26,166	16,608	0.63	0.14

The liquidity comparison reveals meaningful divergence in how these six office REITs are capitalized, with debt ratios ranging from 0.38 at Cousins Properties to 0.63 at BXP. BXP carries the heaviest debt load in absolute terms at \$16.6 billion, reflecting its scale as the largest publicly traded office REIT, though its FFO to total debt ratio of 0.066 is the lowest in the group, indicating it generates relatively less operating cash flow per dollar of debt than peers. This is worth monitoring as BXP executes its multi-year plan to sell non-core assets and reinvest in premier development projects across its six gateway markets. Cousins stands out as the most conservatively financed, with the lowest debt ratio at 0.38 and the highest FFO to total debt ratio at 0.143, a position that has given it the balance sheet flexibility to deploy nearly \$1 billion in Sun Belt acquisitions since mid-2024. Highwoods and COPT Defense both sit above the peer median at 0.57 and 0.60 respectively, though both maintain FFO to debt ratios near the group median, indicating their leverage is supported by relatively stable and predictable cash flows from long-term leases. They have recently taken on various large projects which has elevated their leverage, but those projects were pre-leased build-to-suit properties which decreases its risk. Highwoods Properties shows similar ratios as CDP, but they are exposed to more volatility and market risk which is why they have a higher dividend yield. At the median, the peer group carries a debt ratio of 0.51, broadly consistent with historical norms for office REITs operating in a higher rate environment, with the most conservatively positioned players best placed to capitalize on the current acquisition cycle as office fundamentals continue to recover.

Total Debt (USD) vs. Asset Ratio



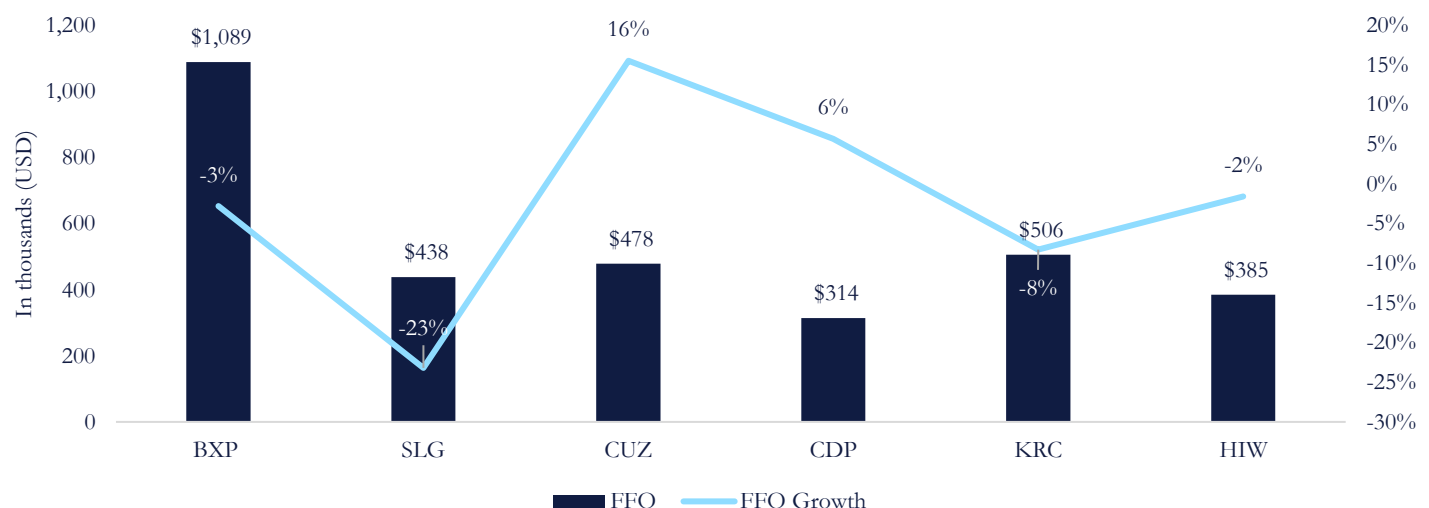
COMPARABLE: PROFITABILITY

\$ in millions of USD (As of 3/12/26)

Company	FFO	FFO Growth	AFFO	AFFO Growth	NOI	NOI Growth	Profit Margin
BXP Inc	1,089.04	-2.81%	753.76	-15.69%	2058.65	0.76%	28.33%
SL Green Realty Corp	437.67	-23.19%	237.24	-41.40%	309.62	-0.61%	-36.47%
Cousins Properties Inc	478.40	15.53%	276.82	6.09%	664.67	5.86%	-1.36%
COPT Defense Properties	313.70	5.70%	234.32	5.44%	445.63	7.11%	19.00%
Kilroy Realty Group	505.92	-8.29%	404.46	-9.33%	736.22	-9.39%	4.57%
Highwoods Properties Inc	384.98	-1.59%	190.81	-10.88%	544.74	1.90%	14.38%
Lower	313.70	-23.19%	190.81	-41.40%	309.62	-9.39%	-36.47%
Median	458.04	-2.20%	257.03	-10.11%	604.70	1.33%	9.47%
Mean	534.95	-2.44%	349.57	-10.96%	793.25	0.94%	4.74%
Upper	1,089.04	15.53%	753.76	6.09%	2,058.65	7.11%	28.33%

Across the entire comp set, profitability is clearly under pressure, with 4 out of the 6 comps seeing negative FFO and AFFO (FAD) growth YoY. SL Green has seen the most shrinkage in FFO and AFFO YoY, with respective growth rates of -23% and -41%. Cousins Properties, however, has seen some FFO and AFFO expansion over the past year (15% and 6%). BXP stands out as the clear scale leader, with the highest FFO and AFFO, and a profit margin of over 28%. The median FFO growth is just -2.2%, while AFFO growth sits at -10.11%. These kinds of declines across the entire comparable set indicate increasing capital pressures, likely related to tenant improvements and leasing costs. The large contrasts between FFO and AFFO figures (median of \$458 million vs \$257 million) highlights how FFO overstates true cash earnings due to significant recurring capital expenditures. The table also shows the wide range of profit margins across the comp set. These varieties are driven by factors such as differences in leverage, asset quality, and exposure to different markets. BXP, HIW, and CPT all are well in the positive, while SLG has struggled; has a profit margin of -36.5%. SLG is solely focused in NYC, and is most exposed to NYC market volatility. CDP focuses on defense/ government offices, leading to their profits being less cyclical. Cousins has seen growth recently as they are exposed to many Sunbelt markets, which became very cheap since “crashing” just after the pandemic.

FFO and 1YR FFO Growth





BULL & BEAR
RESEARCH

Initiating Coverage:

BXP



BXP

BXP, formerly known as Boston Properties, is the largest publicly traded real estate investment trust in the United States, investing in office spaces across the country. BXP was founded in 1970 and is headquartered in Boston, MA. As of Q4 2025, BXP manages a portfolio of 171 properties (plus 8 more being developed), totaling over 52 msf.

Differentiation and Strategy

BXP focuses on premier workplaces across six CBD gateway markets: Boston, New York, Los Angeles, San Francisco, Seattle, and Washington, DC. About 90% of annualized rental obligations come from CBD clients, reflecting the company's concentration in the highest-quality urban assets. Beyond office, BXP has built a 6-million-square-foot life science pipeline, with the AstraZeneca-leased 290 Binney Street project as a near-term earnings catalyst. The company is converting underperforming office sites into residential, with over 1,400 units under construction and entitlements for 5,000 more.

Financial Performance

BXP posted \$3.5 billion in total revenues and full-year FFO of \$1.2 billion, or \$6.85 per share, for 2025. Q4 revenue of \$877.1 million beat analyst forecasts of \$861 million, though Q4 FFO of \$1.76 per diluted share came in \$0.05 below guidance, primarily due to higher G&A expense and non-cash rent reserves. Full-year leasing totaled 5.5 million square feet with a weighted average lease term of 10.1 years, closing 2025 at 86.7% occupancy.

Balance Sheet Operations

BXP ended 2025 with \$255.6 million in cash against \$16.6 billion in long-term debt and \$26.2 billion in total assets, generating \$1.2 billion in operating cash flow for the year. As part of its strategic capital recycling program, BXP completed approximately \$1.14 billion in gross property sale proceeds through January 2026, using proceeds to reduce leverage and fund development priorities. Interest coverage stands at 2.83x, with net debt to EBITDA of 8.33x and a debt-to-equity ratio of 3.23.

Recent Acquisitions

BXP acquired 2100 M Street in Washington, DC for \$55 million, redeveloping it into a 320,000 square foot premier workplace with Sidley Austin signed for 234,000 square feet. BXP commenced vertical construction of 343 Madison Avenue, a 46-story, 930,000 square foot premier workplace adjacent to Grand Central Station, after buying out its partner's 45% interest for \$43.5 million.

Outlook

BXP guided 2026 FFO to \$6.88 to \$7.04 per share, targeting 89% occupancy by year-end with same-property NOI growth of 1.75% to 2.25%. The longer-term target is 91% occupied and 93% leased by end of 2027.

Stock Rating	BUY
BBR Price Target	\$72.33
Price (12/31/2025)	\$67.48
Ticker	BXP
Exchange	NYSE

52 Week Range \$49.72 – 79.33



Research Team

Anthony Butsikares

Max Klinger

Catalina Sposato

Deven Hikspoors

Om Hirani

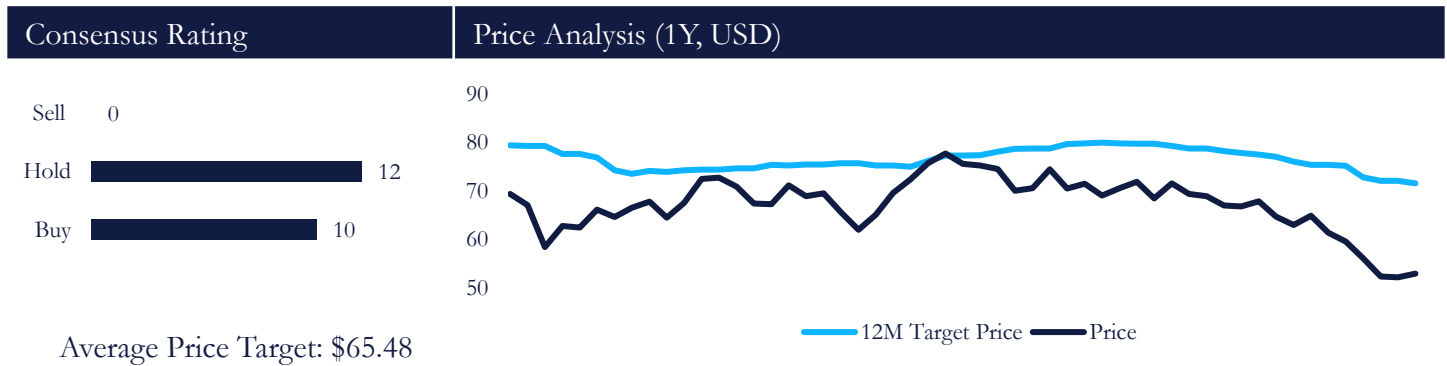
Multiples

	BXP	Peers
P/FFO	7.68	7.33
EV/FFO	26.05	18.25
EV/AFFO	37.64	30.78

Stock Information

Market Cap (B)	\$8.364
Shares Outs. (mm)	158.63
Properties Owned	171
Dividend Yield (%)	5.31%

ALTERNATIVE VALUATIONS



Firm	Broker	Date	Analyst Rating	Price Target
BBR	Real Estate Coverage	3/24/2026	Buy	\$72.33
BMO	John P Kim	03/25/2026	Outperform	\$68.00
Scotiabank	Nicholas Yulico	03/23/2026	Sector perform	\$65.00
Goldman Sachs	Caitlin Burrows	03/06/2026	Neutral	\$62.00
Morgan Stanley	Ronald Kamdem	03/03/2026	Neutral	\$60.00
Jefferies	Nicholas Joseph	03/03/2026	Equalwt/In-line	\$60.00
EVERCORE	Steve Sakwa	02/27/2026	In-line	\$67.00
BARCLAYS	Brendan Lynch	02/25/2026	Overweight	\$66.00
WELLS FARGO	Blaine Heck	02/20/2026	Overweight	\$69.00

Select Commentary

Scotiabank

Rating: Sector perform

Price Target: \$65.00

Research Team:

Nicholas Yulico

- BXP's valuation reflects durability over growth, with investors favoring its stable long term lease profile and high-quality assets despite limited near-term upside.
- Mixed analyst sentiment highlights the dependence on leasing recovery with performance tied to market stabilization rather than multiple expansion.
- Its positioning in gateway markets provide long-term upside potential, however its near-term performance remains constrained by elevated vacancy and slower leasing velocity.

MODEL SUMMARY

Overview

In our valuation of BXP Inc. we constructed a Discounted Cash Flow (DCF) model, which was built from a three-statement model that forecasted into 2030. Our assumptions were derived from historical figures, management guidance, and other data from Bloomberg and CoStar. The largest drivers of our valuation were NOI growth and the cap rate we assumed. We conducted a sensitivity analysis to account for this risk associated with each valuation driver. We also aimed to make conservative but fair assumptions throughout.

NAV & Market Consensus

We forecasted an Enterprise Value of \$27.07 billion and an end-of-year target stock price of \$72.33. These figures are both greater than Bloomberg's market consensus estimate of \$25.83 billion in 2026, with an implied stock price per share of \$70.95. The difference in our valuations is derived from our confidence in NOI growth, driven by decreased office construction in key cities that BXP holds Class A portfolios within, leading to the lowering of vacancy rates and gradual increase in rental revenue in the years to come.

Rent Growth	Enterprise Value	Implied Stock Price
<u>Market</u> 2.2%	<u>Market</u> \$25.83 B	<u>Market</u> \$70.95
<u>BBR</u> 2.5%	<u>BBR</u> \$27.07 B	<u>BBR</u> \$72.33

Year-End 2026 Target Price Sensitivity Analysis

BBR targets a share price of \$72.33 for December 31st, 2026. This is assuming a 6.5% exit cap rate, which is reasonable considering BXP's existing portfolio, consisting of primarily Class A Office buildings in major coastal cities, such as NYC and Boston. A discount rate (WACC) of 9% was used, which is considered very standard for an office REIT, but still a bit conservative considering BXP's strategy. A sensitivity analysis has been constructed to stress test two of our largest valuation drivers across a +/- 100 basis point change in both the terminal growth rate and discount rate used. Our sensitivity analysis has our valuation as high as \$104.45 (best case) with a 3% growth rate and 8% discount rate, but as low as \$53.47 (worst case) with a 1% growth rate and 10% discount rate.

FY26 NOI		Terminal Growth Rate			
WACC	1.0%	1.5%	2.0%	2.5%	3.0%
8.0%	\$77.58	\$82.75	\$88.78	\$95.90	\$104.45
8.5%	\$70.53	\$74.92	\$80.00	\$85.92	\$92.91
9.0%	\$64.24	\$68.01	\$72.33	\$77.31	\$83.12
9.5%	\$58.58	\$61.86	\$65.56	\$69.80	\$74.69
10.0%	\$53.47	\$56.32	\$59.54	\$63.18	\$67.34

MODEL ANALYSIS

Assumptions Explanation

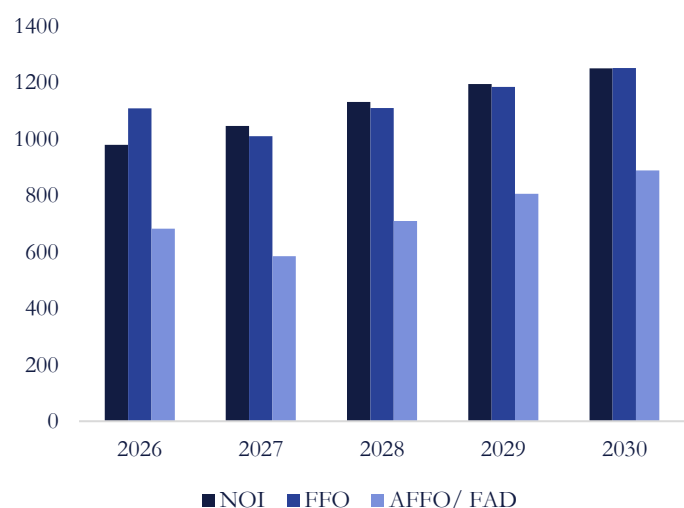
We constructed a conservative segment buildup for NOI, one of the primary drivers of our model. Though BXP has seen revenue growth rates of 4.1% and 3.2% over the past two years, we stayed conservative and projected out annual growth of 2-3% annually. We believe that as office properties begin to rebound toward their new norm, revenue and NOI growth will normalize at around 2%. BXP's Net Income was low in 2024 due to non-cash impairment charges, and which we expect to normalize in the coming years.

We assumed a conservative 9% WACC, which is relatively high for a Class A portfolio. However, we did this because office properties are still trading at heavy discounts, even when seeing minimal vacancy and long leases (such as BXP's current 89% occupancy rate and 10.1-year average lease term). We also projected out a steady gain on the sale of real estate over the next 5 years. BXP made \$176 million on the sale of assets in 2025, a massive jump from the combined \$1.1 million they made in 2023 and 2024 combined. As rates fall and markets heat back up, we can see BXP's gain on sales of real estate normalize at around \$10-\$50 million annually. We also assumed an exit cap rate of 6.5%, which is fairly standard but still conservative considering BXP's existing portfolio.

Stock Price Fluctuations

As of December 31st, 2025, BXP's stock price was \$67.48 per share, and using its Q4 financials, we reached a valuation of \$72.33 per share. Since the end of 2025, however, BXP's share price has pummeled down to \$51.43 per share as of March 29th, 2026. The market seems to be discounting BXP's stock due to broader market struggles, not operational concerns, as BXP's earnings report showed positive revenue and leasing figures.

Projected NOI, FFO, AFFO (\$M)



FFO BUILDUP (in millions)

	Historical			Projected				
	2023	2024	2025	2026	2027	2028	2029	2030
Net Income (Loss) — Total	\$291.4	\$84.2	\$384.3	\$463.2	\$273.7	\$379.6	\$463.7	\$544.7
Add: RE Depreciation & Amort	\$830.8	\$887.2	\$912.1	\$936.9	\$957.6	\$974.9	\$987.5	\$999.3
Less: NCI share of D&A	-\$73.0	-\$76.7	-\$86.1	-\$88.1	-\$90.0	-\$91.6	-\$92.8	-\$93.9
Add: BXP share JV D&A	\$101.2	\$81.9	\$65.4	\$60.0	\$55.0	\$52.0	\$50.0	\$48.0
Less: Corporate D&A	-\$1.8	-\$1.7	-\$2.5	-\$2.5	-\$2.5	-\$2.5	-\$2.5	-\$2.5
Add: Non-RE Amortization	-\$1.7	\$8.5	\$8.5	\$8.5	\$8.5	\$8.5	\$8.5	\$8.5
Add: JV Impairments	\$272.6	\$355.0	\$230.9	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0
Less: Gains on Sales of RE	-\$0.5	-\$0.6	-\$176.7	-\$50.0	-\$25.0	-\$15.0	-\$10.0	-\$10.0
Less: JV Gains on Sales	-\$28.4	-\$21.7	-\$53.7	-\$10.0	-\$5.0	-\$3.0	-\$2.0	-\$2.0
Less: Other (partnerships, sales-type, unrealized, pref)	-\$116.0	-\$68.1	-\$72.3	-\$88.0	-\$52.0	-\$72.1	-\$88.1	-\$103.5
Basic FFO (OP)	\$1,274.6	\$1,248.0	\$1,209.9	\$1,230.1	\$1,120.3	\$1,230.8	\$1,314.3	\$1,388.5
Less: NCI - OP share of FFO	-\$130.8	-\$127.5	-\$120.6	-\$120.5	-\$109.8	-\$120.6	-\$128.8	-\$136.1
FFO attr. to BXP, Inc.	\$1,143.8	\$1,120.5	\$1,089.3	\$1,109.5	\$1,010.5	\$1,110.1	\$1,185.5	\$1,252.4
FFO Per Diluted Share	\$7.28	\$7.10	\$6.85	\$6.96	\$6.36	\$6.98	\$7.45	\$7.86

Sources: Bloomberg, GreenStreet, Yahoo Finance, Seeking Alpha

TEAM OUTLOOK

Key Takeaways

The office vacancy rate in the United States has surpassed 20%, as hybrid/ remote work models have become the new norm in many workplaces. Some major markets such as NYC have remained fairly resilient, sitting at just under 14%, which is significantly below its peer markets. Leasing momentum has begun to return, however, with almost 42 msf leased in 2025, which is the highest amount since before the pandemic. In all, tenant demand has remained very selective, with Class A properties rebounding much sooner than Class B or C, particularly in major tech and financial hubs.

Capital Market Momentum

While transaction volume remains fairly muted, there have been some early signs of recovery, as opportunistic capital has begun to re-enter the market. There have also been some positive absorption trends, with 13.6 million SF of net absorption in 2025. Leasing is also up 5% YoY nationally, showing that demand is beginning to return, just in its new norm. We expect investment activity to gradually continue to recover as pricing continues to stabilize and more capital re-enters the market in the coming years.

Forward Looking Trends

The office market is going through a period of reshaping, with demand being centered around high-quality assets, while lower-quality ones are being permanently removed. Employees are spending over 25% of their workdays remote, compared to under 7% pre-pandemic. This has given way for a strong office-to-residential pipeline to emerge, with 16+ thousand units already planned out in NYC. We expect this trend to continue, and for under-utilized office spaces to be converted to residential complexes across the country. Over the coming years, we can expect the office market to stabilize slowly toward its new norm. Hybrid work is here to stay, which limits space requirements and further pushing demand for high-quality workspaces that outweigh the benefits of working from home. Leasing activity will continue to improve as tenants begin understanding exactly how much space they need and whether or not they mandate return-to-office initiatives. Overall, we expect the office sector to emerge as a smaller market than it had previously been, but a more-efficient, bifurcated, and quality-driven one that emphasized well-located, amenitized assets that match tenants' expectations.



Meet the Team



Anthony Butsikares is a fourth-year finance undergraduate student. He serves as the director of BBR's Real Estate team. Outside of BBR, he serves as a Senior Analyst on the Real Estate Analyst Program; he currently works part-time on the acquisitions team at Gindi Equities, where he interned last summer, and he is training for his third marathon. Anthony has also previously interned at Rialto Capital and at Jefferies.

Upon his graduation this spring, he will be joining Lument as an Associate Development Program rotational analyst where he will gain experience across a loan's lifecycle.



Max Klinger is a third-year finance undergraduate student at Northeastern University. He serves as an associate on BBR's Real Estate team. Outside of BBR, he is the President of Northeastern's Real Estate Analyst Program. He has gained experience across multiple sectors of the industry, having worked at Cushman & Wakefield on the Debt, Equity, and Institutional Investment Sales team, at Northland in real estate private equity focused on multifamily acquisitions, and at Saber Real Estate South in development and acquisitions across multifamily, retail, and luxury spec home development. This summer, Max will be joining Eastdil Secured as a real estate investment banking analyst.



Catalina Sposato is an international business student concentrating in finance. On campus she is involved in Women in Finance, the Finance and Investment club, and Northeastern's Club Field Hockey team. She has gained experience this semester as an analyst on BBR's Real Estate team. This summer she will be joining a boutique investment bank in Argentina, called Finanzas & Gestion, as a summer analyst. Following that, she has accepted a co-op at LGT Capital Partners in New York working on the Real Estate Private Equity team.



Deven Hikspoors is a first-year undergraduate student pursuing a degree in business administration, with a minor in economics, and a concentration in finance. During his first semester, Deven studied abroad in Lisbon, Portugal, where he served as his program's Student Director of Finance. Now back on the Boston campus, he has joined BBR's Real Estate team as an analyst and the Northeastern Men's Club Hockey Team.

Looking ahead, Deven will be applying for his first co-op in the fall and is interested in exploring a career in real estate, equity research, or capital markets.



Om Hirani is a first-year undergraduate business administration student concentrating in finance and minoring in data science. During his first semester, Om spent his time in Northeastern's Boston campus exploring different sectors within business and more specifically finance. On campus, he is currently an analyst for BBR's Real Estate team and is exploring the realm of sales in his free time. In the future, Om is planning to grow upon his experiences in Boston by combining his interests within real estate and sales and pursuing a career in commercial real estate investment sales.